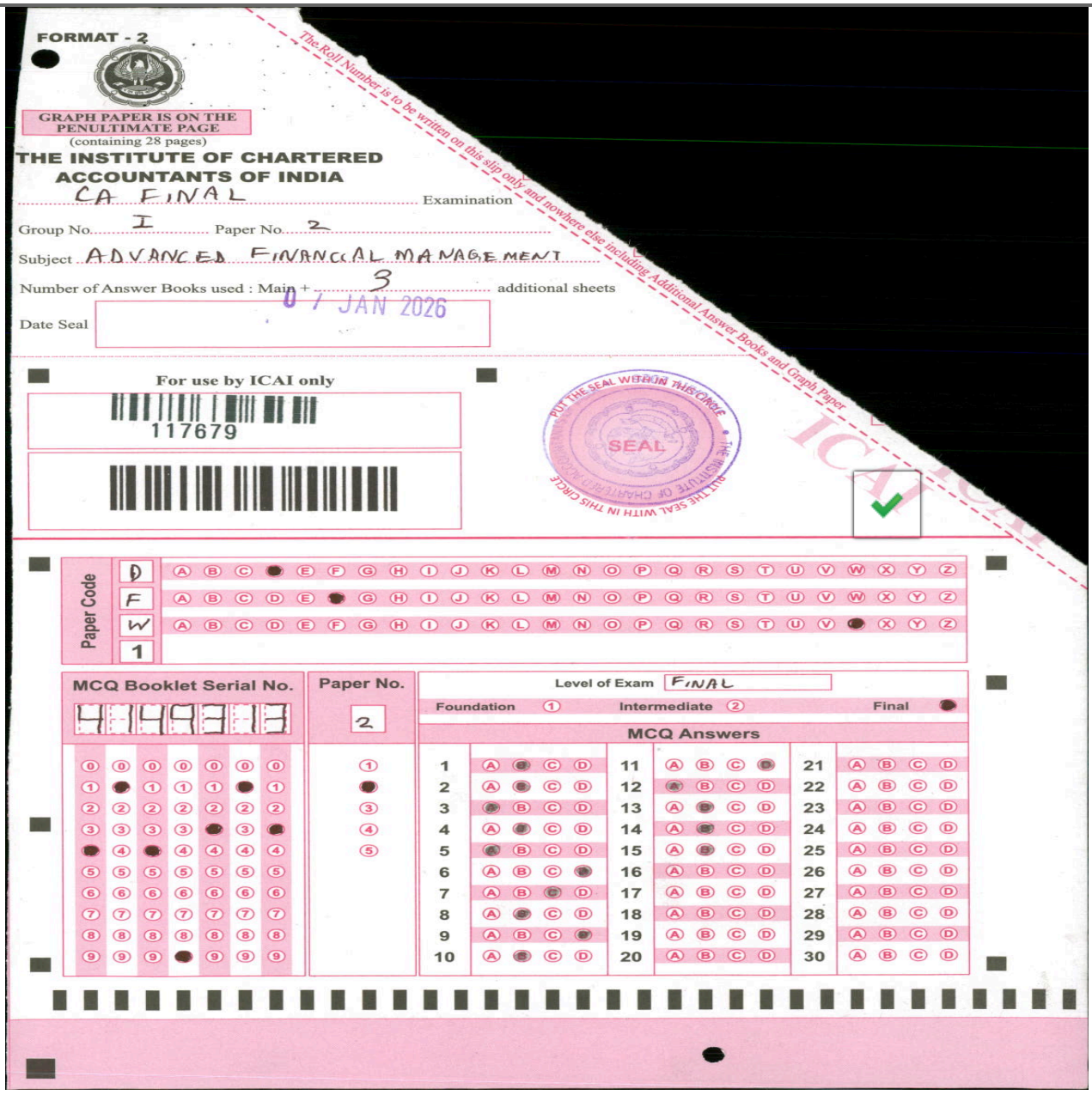
The Institute of Chartered Accountants of India

Code:	**FN2AF117679**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**53**



FORMAT - 2

GRAPH PAPER IS ON THE PENULTIMATE PAGE
(containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. I Paper No. 2

Subject ADVANCED FINANCIAL MANAGEMENT

Number of Answer Books used : Main + 3 additional sheets

Date Seal 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper.

For use by ICAI only

117679

PUT THE SEAL WITHIN THIS CIRCLE THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA SEAL

Paper Code: D F W 1

MCQ Booklet Serial No. 4149913

Paper No. 2

Level of Exam FINAL

Foundation (1) Intermediate (2) Final

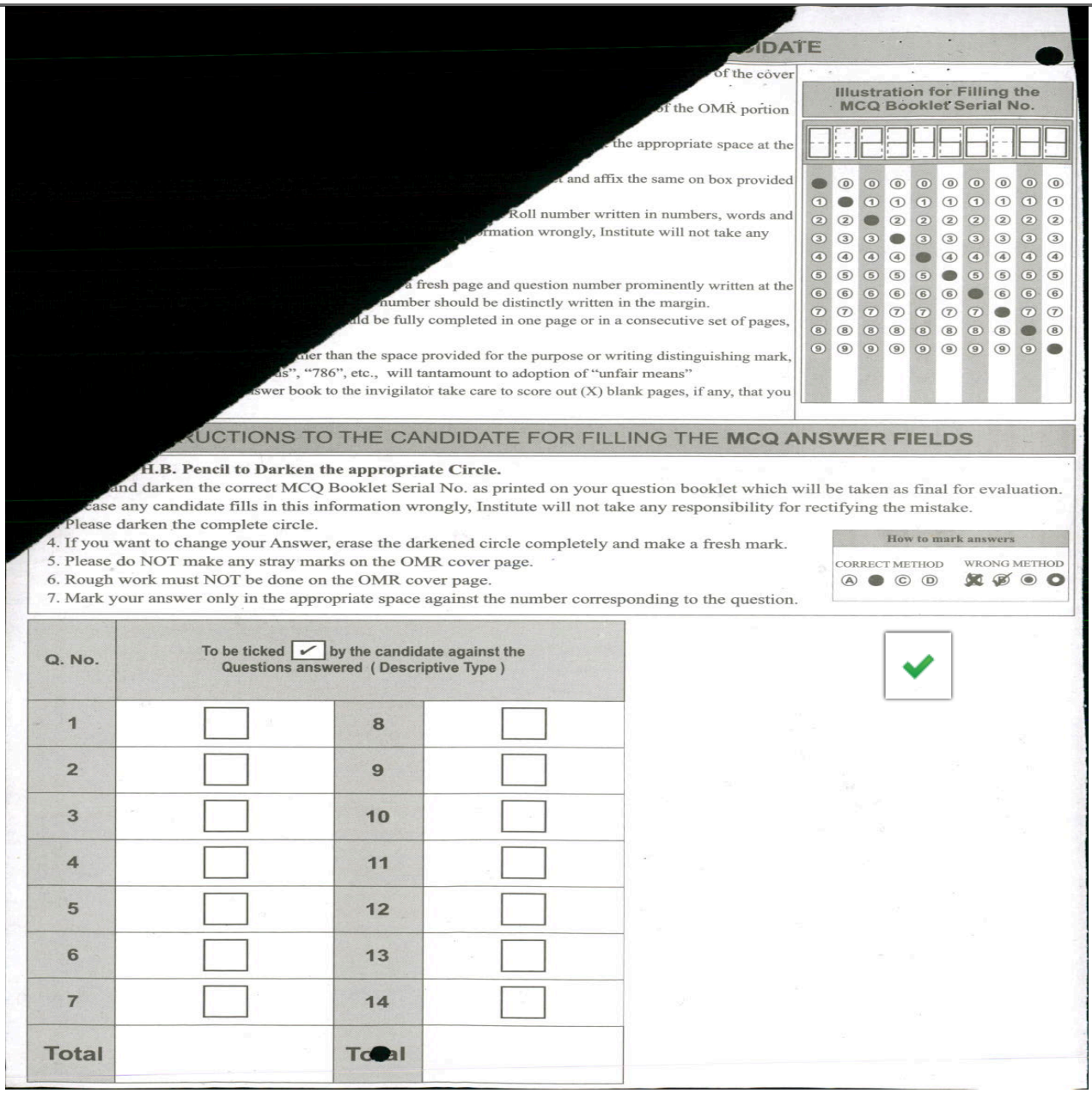
MCQ Answers

1	B	11	A	21	A
2	B	12	B	22	A
3	A	13	B	23	A
4	B	14	B	24	A
5	A	15	A	25	A
6	D	16	A	26	A
7	C	17	A	27	A
8	B	18	A	28	A
9	D	19	A	29	A
10	B	20	A	30	A

The Institute of Chartered Accountants of India

Code: FN2AF117679 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 53



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ier than the space provided for the purpose or writing distinguishing mark,

s", "786", etc., will tantamount to adoption of "unfair means"

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Illustration for Filling the MCQ Booklet Serial No.

RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

H.B. Pencil to Darken the appropriate Circle.

and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

Please darken the complete circle.

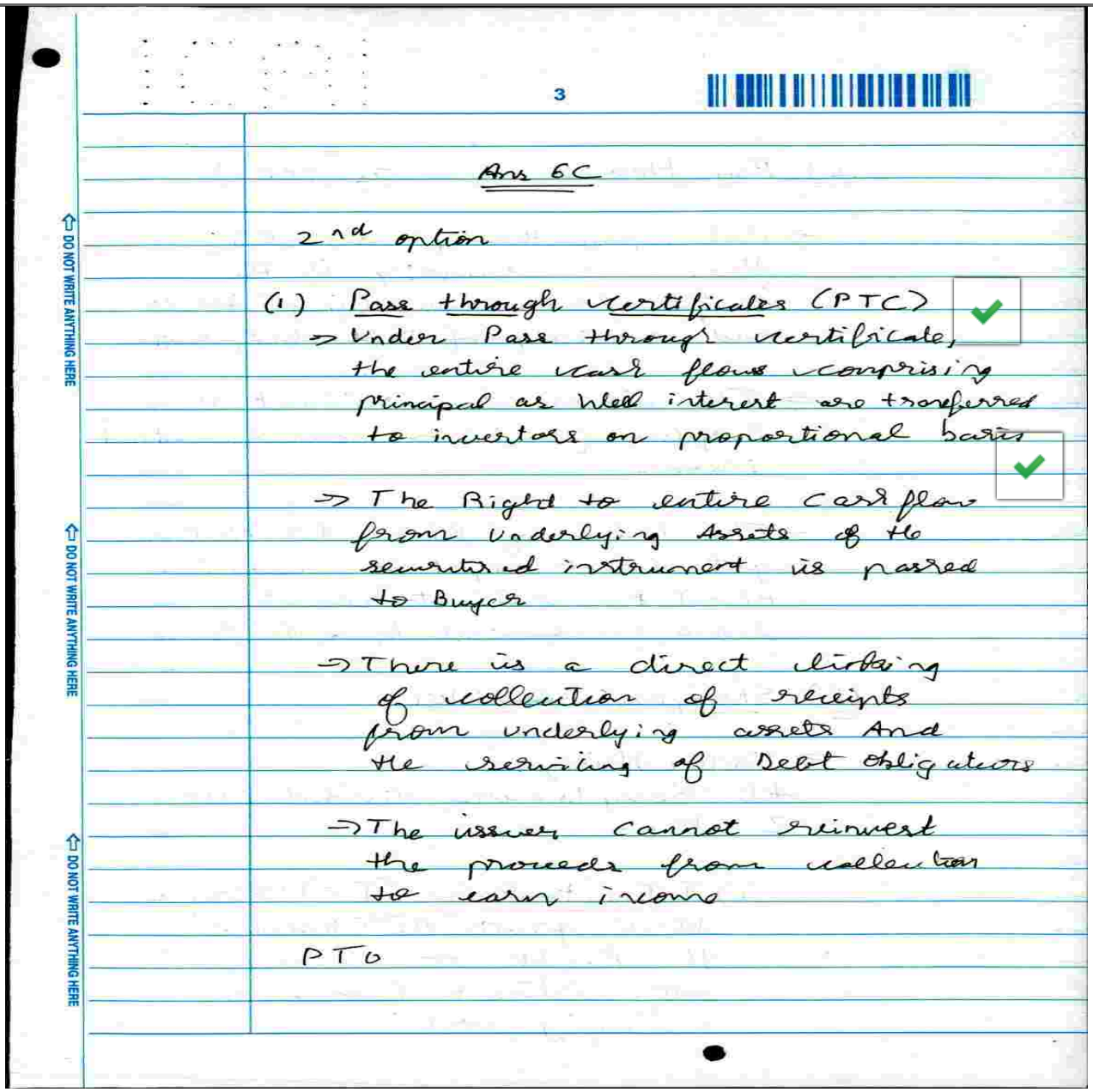
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Ⓐ ● Ⓒ Ⓓ Ⓐ Ⓑ Ⓒ Ⓓ

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	



3

Ans 6C

2nd option

(1) Pass through certificates (PTC)

⇒ Under Pass through certificate, the entire cash flows comprising principal as well interest are transferred to investors on proportional bases

⇒ The Right to entire cash flow from Underlying Assets of the securitised instrument is passed to Buyer

⇒ There is a direct linking of collection of receipts from underlying assets And the servicing of Debt Obligations

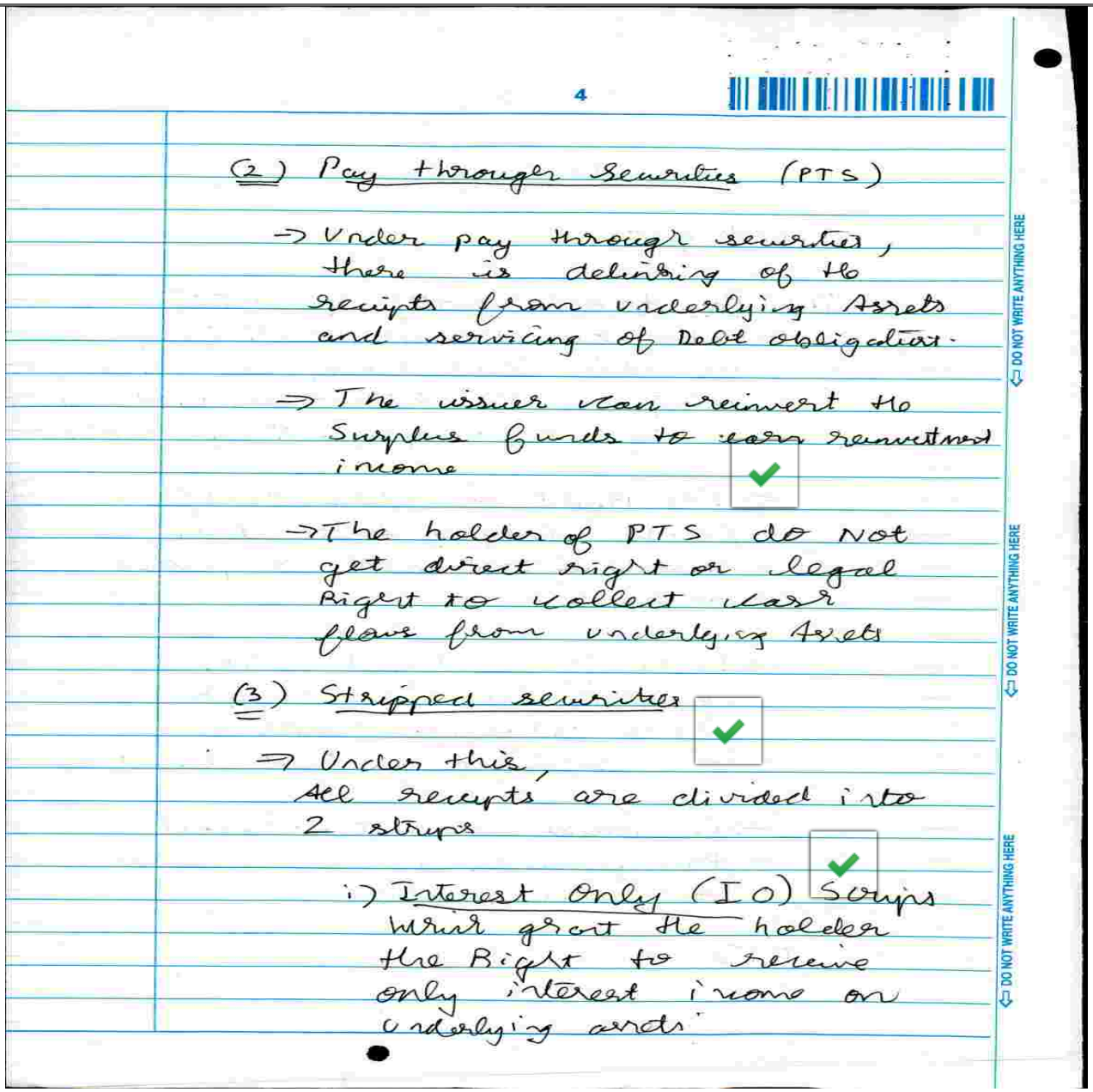
⇒ The issuer cannot reinvest the proceeds from collection to earn income

PTO

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4

(2) Pay through Securities (PTS)

→ Under pay through securities, there is delinking of the receipts from underlying Assets and servicing of Debt obligation.

⇒ The issuer can reinvest the Surplus funds to earn reinvestment income

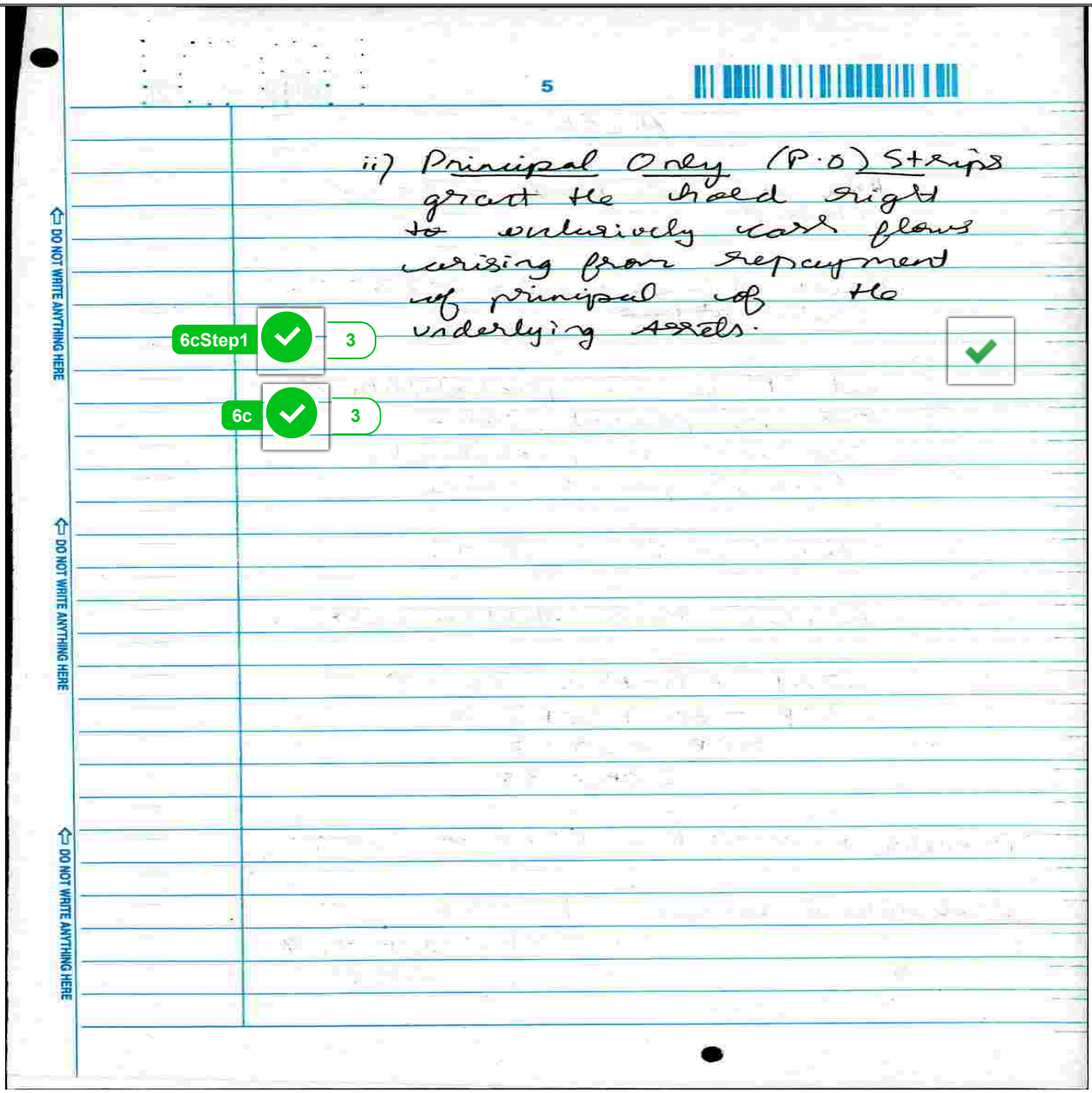
→ The holder of PTS do Not get direct right or legal Right to collect cash flows from underlying Assets

(3) Stripped securities

⇒ Under this, All receipts are divided into 2 strips

i) Interest Only (IO) Strips which grant the holder the Right to receive only interest income on underlying asset.

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5

ii) Principal Only (P.O) Strips grant the holder right to exclusively cash flows arising from repayment of principal of the underlying assets.

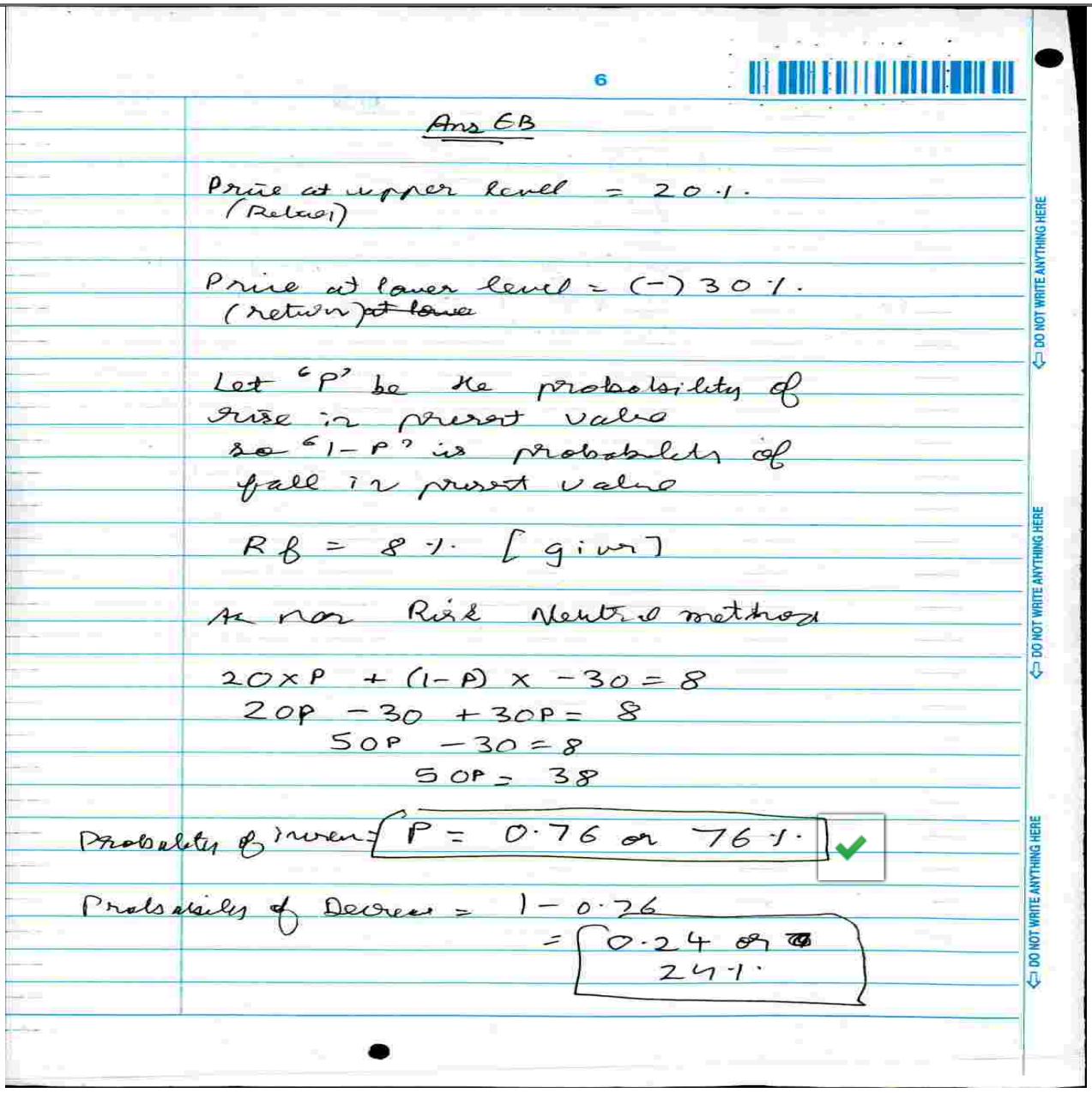
6cStep1 3

6c 3

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6

Ans 6B

Price at upper level = 20 %.
(Return)

Price at lower level = (−) 30 %.
(return) ~~at lower~~

Let 'P' be the probability of rise in present value
so '1−P' is probability of fall in present value

Rf = 8 %. [given]

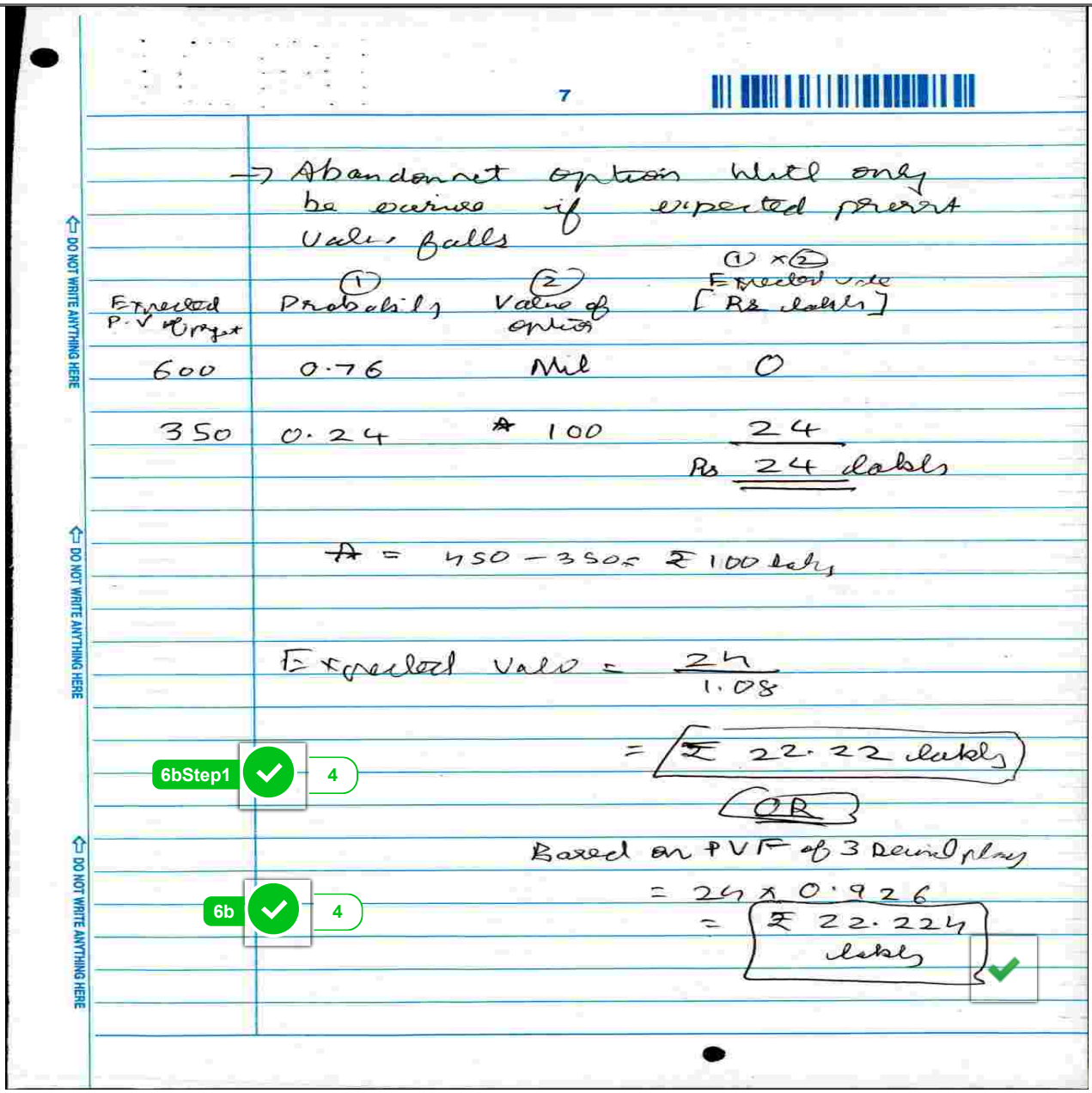
As per Risk Neutral method

$20 \times P + (1-P) \times -30 = 8$
$20P - 30 + 30P = 8$
$50P - 30 = 8$
$50P = 38$

Probability of rise = P = 0.76 or 76 %.

Probability of Decrease = 1 − 0.76
= 0.24 or 24 %.

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7

⇒ Abandonment options will only be exercise if expected present value falls

Expected P.V of project	① Probability	② Value of option	① × ② Expected value [Rs labels]
600	0.76	Nil	0
350	0.24	₹ 100	24
			Rs 24 labels

₹ = 450 − 350 = ₹ 100 labs

Expected Value = $\frac{24}{1.08}$

= ₹ 22.22 labels

OR

Based on PVF of 3 decimal place

= 24 × 0.926

= ₹ 22.224 labels

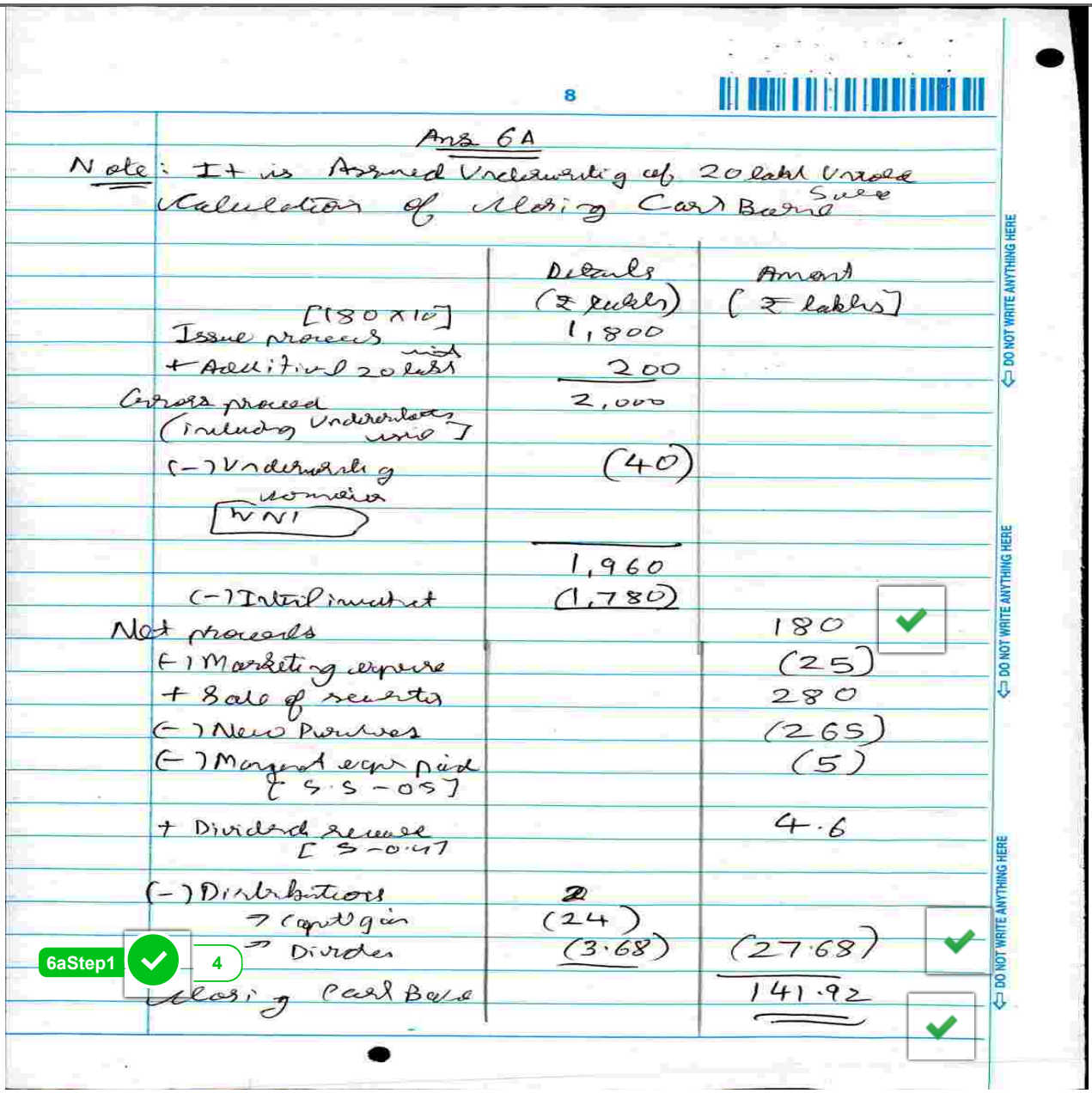
6bStep1 ✓ 4

6b ✓ 4

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8

Ans 6A

Note: It is Assumed Underwriting of 20 lakh Units Sure

Calculation of Closing Cash Balance

	Details (₹ lakhs)	Amount (₹ lakhs)
Issue proceeds [180 x 10]	1,800	
+ Additional 20 lakh units	200	
Gross proceed (including Underwriting units)	2,000	
(-) Underwriting commission [W.N.1]	(40)	
	1,960	
(-) Initial investment	(1,780)	
Net proceeds		180
(-) Marketing expense		(25)
+ Sale of securities		280
(-) New Purchases		(265)
(-) Margin exp paid [5.5 - 0.5]		(5)
+ Dividend received [5 - 0.47]		4.6
(-) Distributions → Capital gain	20 (24)	
→ Dividend	(3.68)	(27.68)
Closing Cash Balance		141.92

6aStep1 4

9

NAV calculation

	₹ lakhs
Closing cash Bal	141.92
+ Accrued Dividend	0.40
+ Investment value	2,150.50
total assets	2,292.82
(-) outstanding expenses	(0.50)
NAV of fund	2,292.32
÷ Units	÷ 200
NAV per unit	11.4616 ~ 11.46

6aStep2 2

WN1) Underwriting commission calculation

= 200 × ₹10 × 2%

= 2,000 × 2%

= Rs 40 lakhs

PTO

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10

WN7) ~~Calculation of~~ permissible Mutual expense Allowed

[Basis Assumption that it is based on ~~opening invst~~ 0.5% of Funds invested by Mutual funds at cost]

opening invstmt = 1,780 lakh Rs

closing Invstmt = 1,780 − 250 + 265
= 1,795 lakh Rs

Avg = $\frac{1,780 + 1795}{2}$
= 21,787.5 lakh

Maximum permissible Mgt expense = 0.5% × Rs 8.9375 lakh

Since Actual expense is lower than permissible, it is Allowed as Deduction

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11

NOV 3) Calculation of total Distributed earnings

- Capital gain = 280 - 250 = ₹ 30 lakhs
+ Dividend [5 - 0.4] 4.6
₹ 34.6 lakhs
× 80.1 × 80%
Distribution Rs 27.68 lakhs

Note: It is Assumed that No Distribution for Dividend of ₹ 40,000 which are yet to be collected

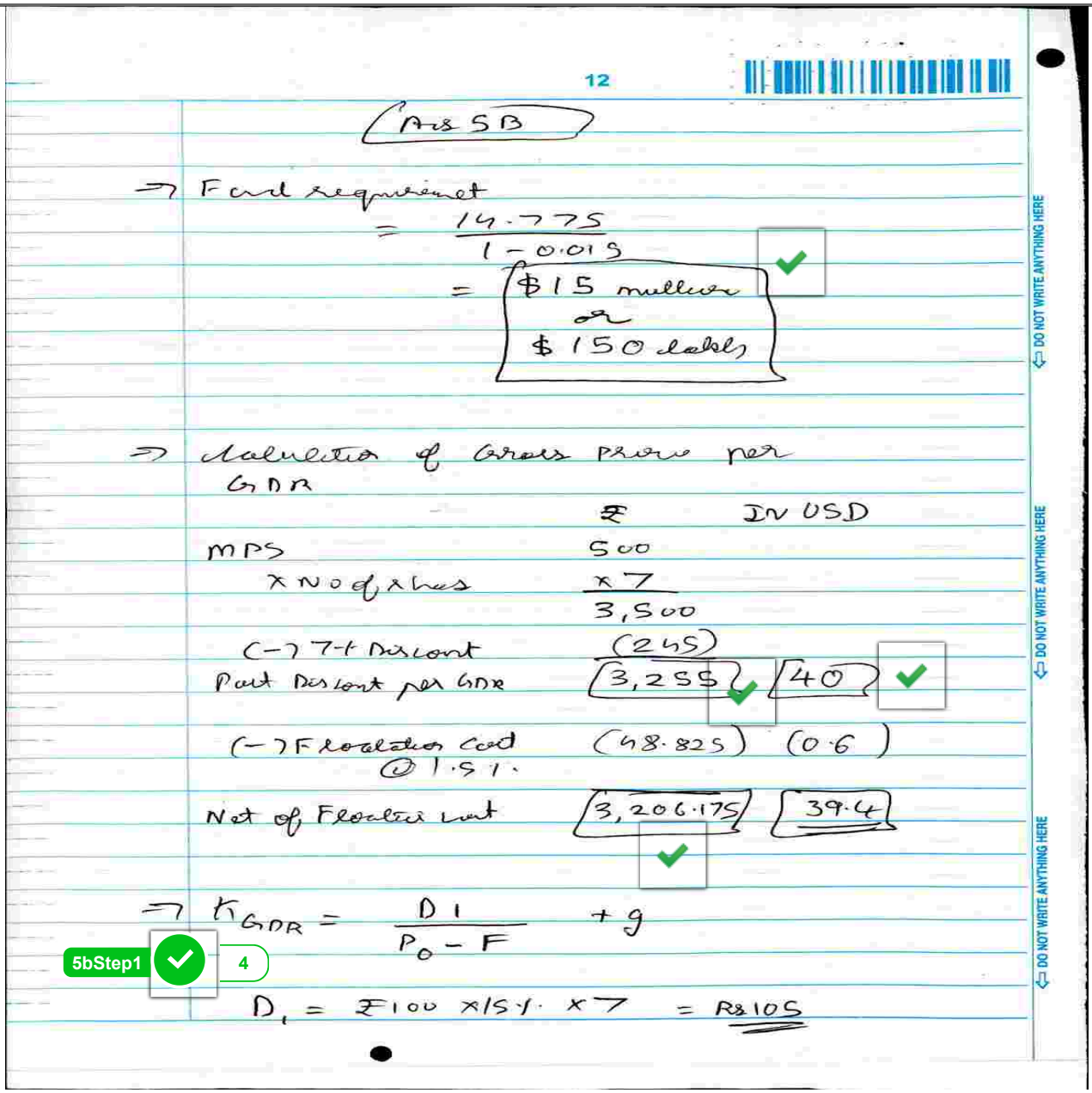
Alternatively
Close NAV
Close NAV = 141.6
+ 0.40
+ 2150.50
(0.50)
2292
÷ 200
11.46

6a 6

Close NAV

6 13

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12

Ans 5B

→ Fund requirement

$= \frac{14.775}{1-0.015}$

= $15 million or $150 lakhs

→ Calculation of Gross Price per GDR

	₹	IN USD
MPS	500	
× No of shares	× 7	
	3,500	
(-) 7% Discount	(245)	
Post Discount per GDR	3,255	40
(-) Floatation Cost @ 1.5%	(48.825)	(0.6)
Net of Floatation cost	3,206.175	39.4

→ $K_{GDR} = \frac{D_1}{P_0 - F} + g$

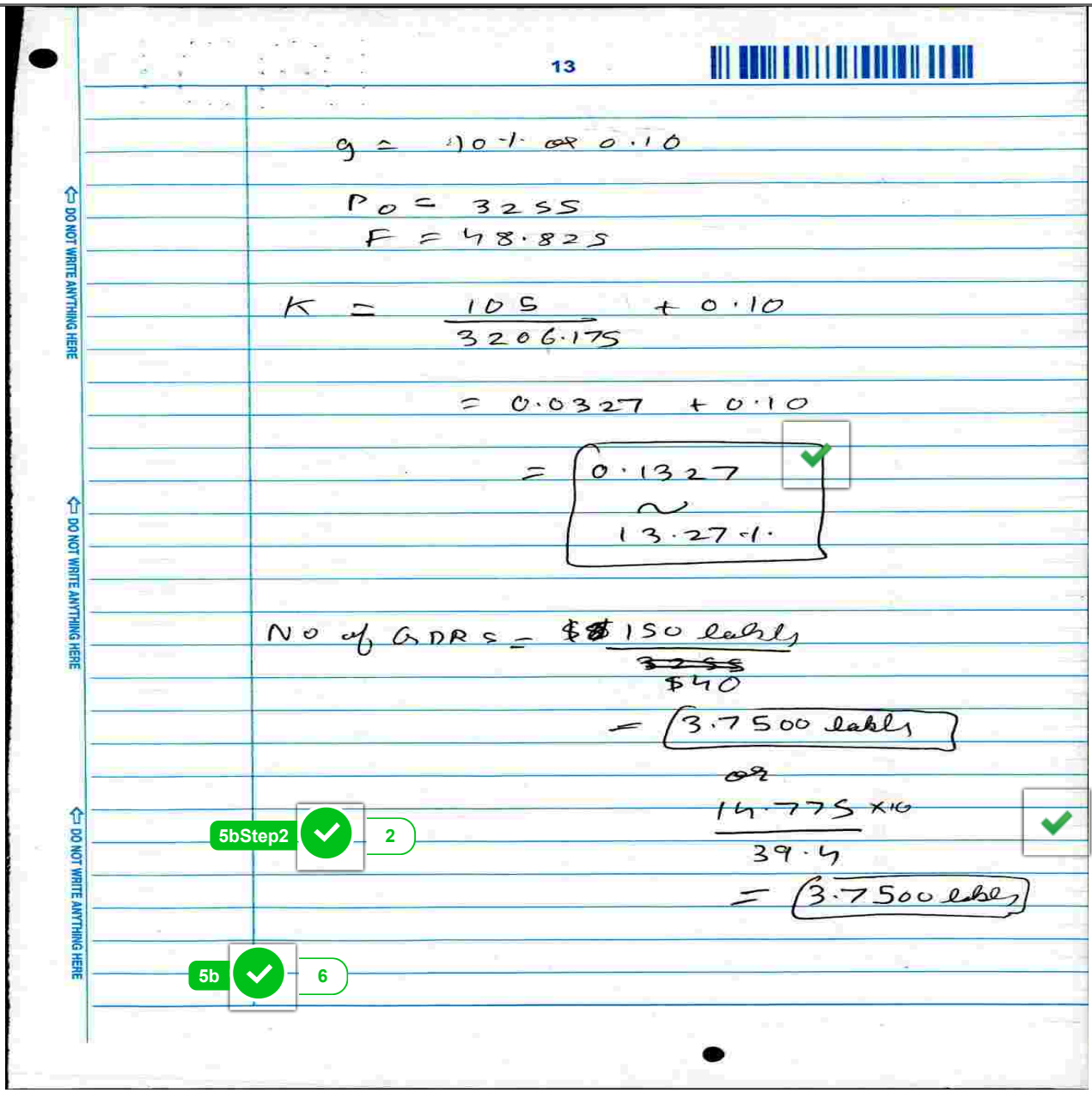
5bStep1 4

D_1 = ₹100 × 15% × 7 = Rs 105

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13

g = 10% or 0.10

P_0 = 3255

F = 48.825

$$K = \frac{105}{3206.175} + 0.10$$

$$= 0.0327 + 0.10$$

$$= 0.1327 \sim 13.27\%$$

No of GDRs = $\frac{\$150 \text{ lakhs}}{\$40}$

= 3.7500 lakhs

or

$\frac{14.775 \times 10}{39.4}$

= 3.7500 lakhs

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5bStep2 2

5b 6

14

Ans 5A

i)

Assumed given Unsystatic Risk is in Standard Deviation form

Treynor Ratio $= \frac{R_i - R_f}{\beta}$

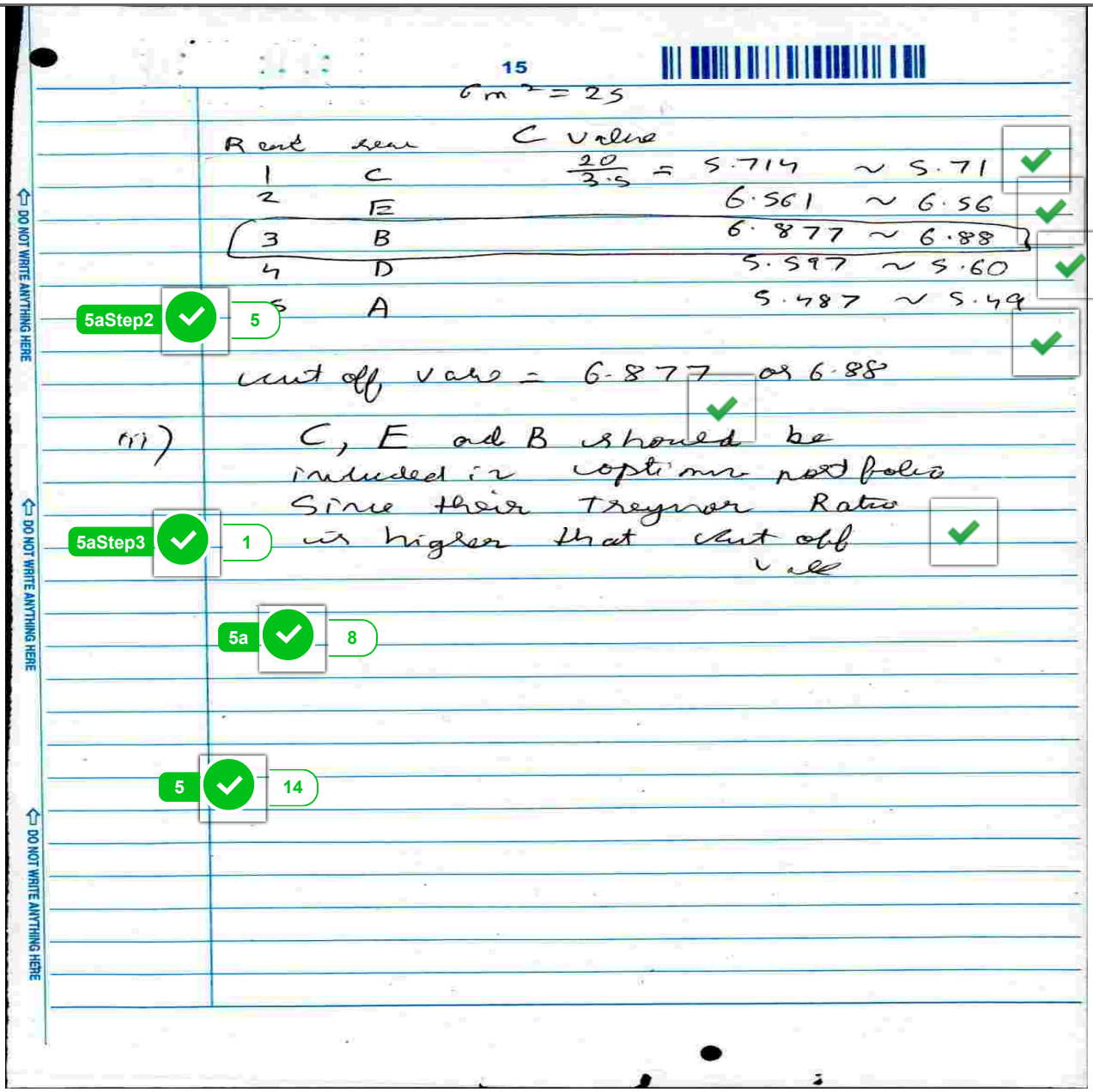
Security	Treynor	Ranking (Highest to lowest)
A	(-) 4	5 (Fifth)
B	7.20	3 (Third)
C	8	1 (First)
D	2	4 (Fourth)
E	7.22	2 (second)

5aStep1 2

ii)

Rank	Security	① Treynor	② β^2/USR	③ cumulative of ②	④ × ② = ⑤	⑥ cumulative of ⑤
1	C	8	0.10	0.10	0.8	0.8
2	E	7.22	0.18	0.28	1.2996	2.0996
3	B	7.20	0.3125	0.5925	2.25	4.3496
4	D	2	0.225	0.8175	0.45	4.7996
5	A	(-)4	0.01	0.8275	(-)0.04	4.7596

Cut off rate $= \frac{6m^2 \times \text{col ⑥ value}}{1 + 6m^2 \times \text{col ③ value}}$



15

$\sigma_m^2 = 25$

Rank	Asset	C Value	
1	C	$\frac{20}{3.5} = 5.714$	~ 5.71
2	E	6.561	~ 6.56
3	B	6.877	~ 6.88
4	D	5.597	~ 5.60
5	A	5.487	~ 5.49

Cut off value = 6.877 or 6.88

(ii) C, E and B should be included in optimum portfolio since their Treynor Ratio is higher than cut off value

5aStep2 5

5aStep3 1

5a 8

5 14

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16

Ans 3C

i) Actions by host country govt are

(1) Iniritate on Resident investor or labour ✔

(2) Restriction on conversion of currency to Another ✔

(3) Repatriation of foreign assets by / of the local government ✔

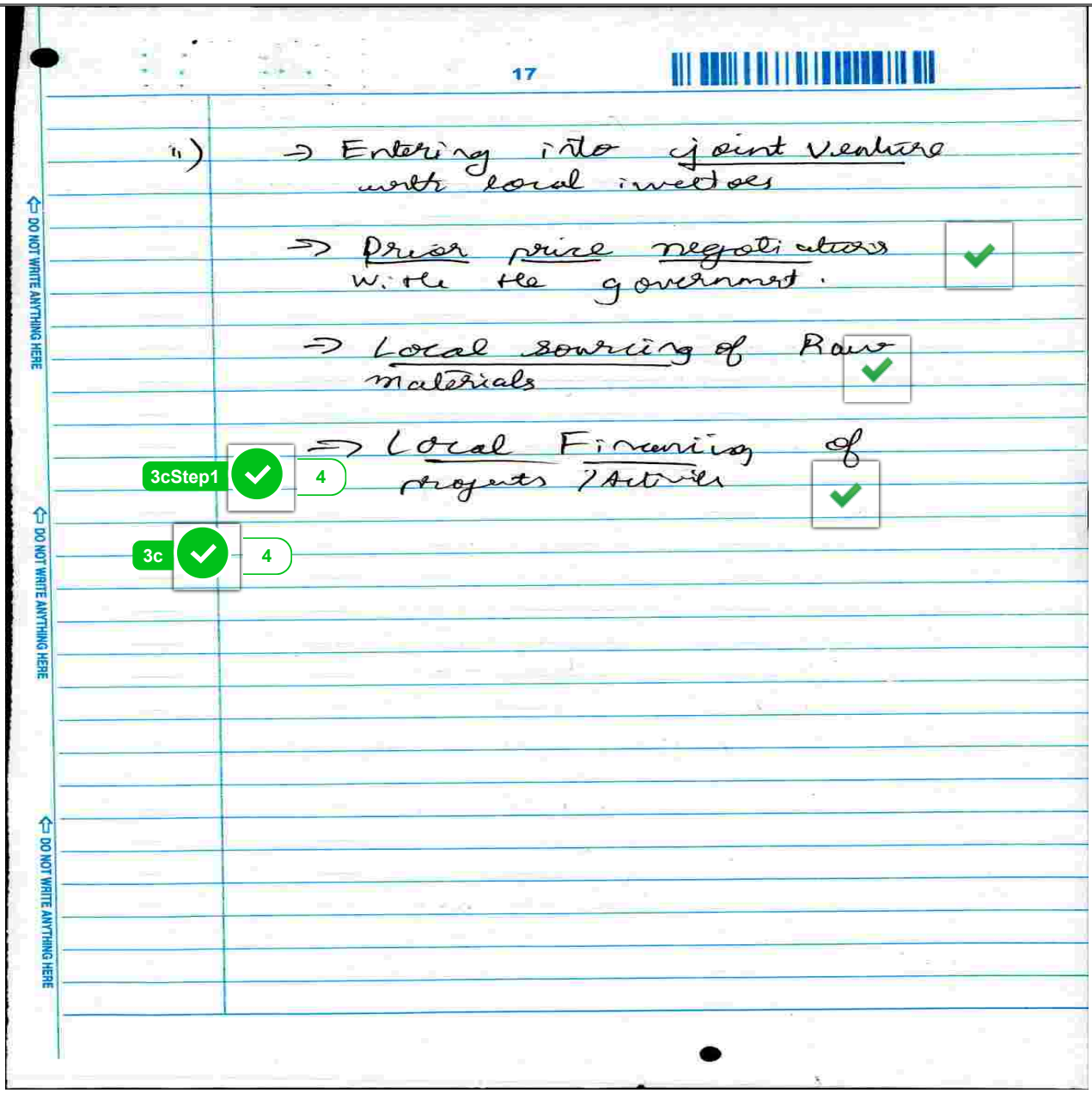
(4) Price fixation of products ✔

→ Can be understood from Political Rating Published by Business Magazine

→ Analysing popularity of current govt & assessing stability

→ taking Advices from home embassi PTC in host country

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17

ii) → Entering into joint Venture with local investors

→ Prior price negotiations with the government.

→ Local sourcing of Raw materials

→ Local Financing of projects / Activities

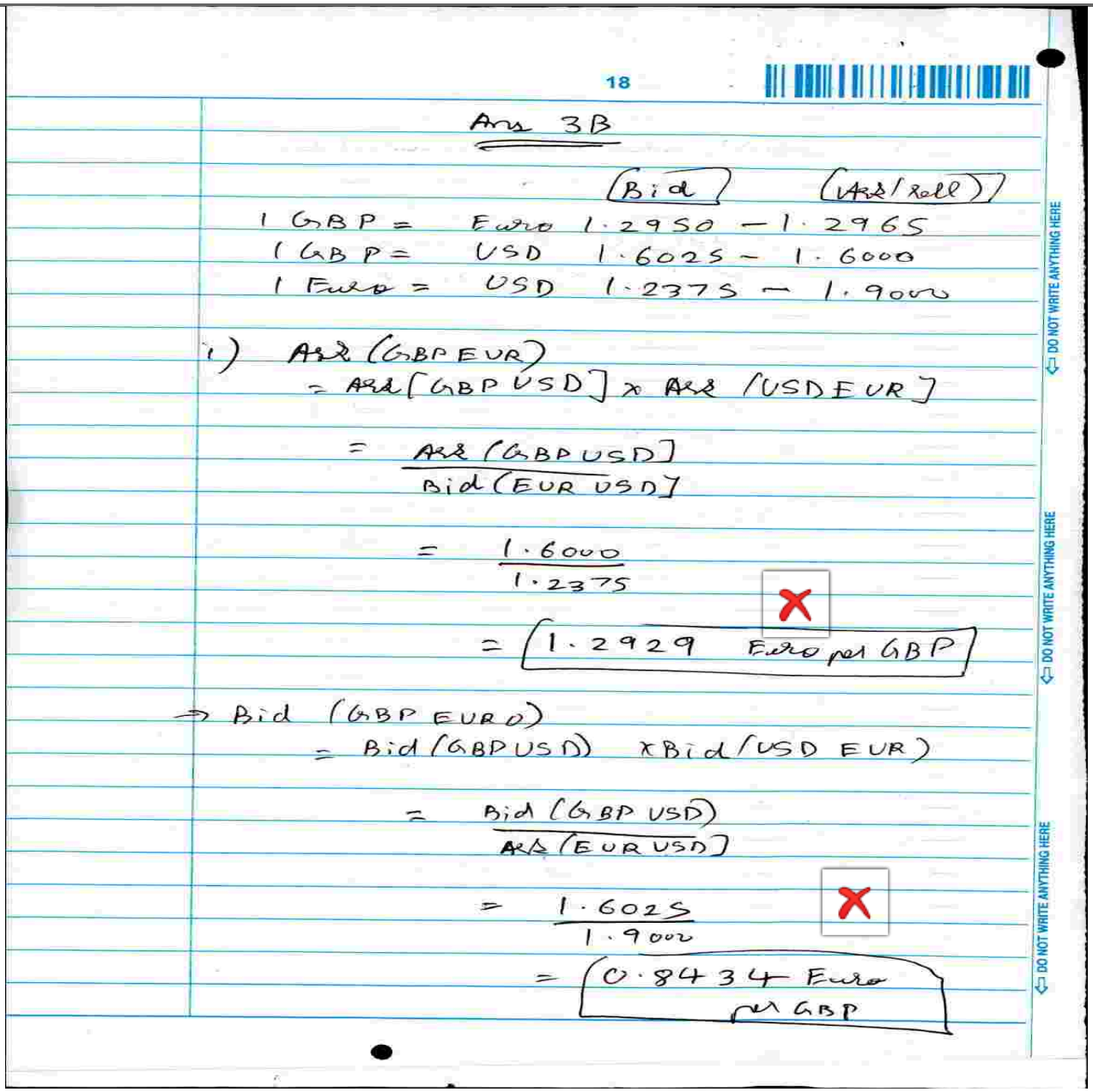
3cStep1 4

3c 4

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18

Ans 3B

		(Bid)	(Ask/Sell)
1 GBP =	Euro	1.2950	– 1.2965
1 GBP =	USD	1.6025	– 1.6000
1 Euro =	USD	1.2375	– 1.9002

i) Ask (GBP EUR)

= Ask [GBP USD] × Ask [USD EUR]

$= \frac{\text{Ask [GBP USD]}}{\text{Bid [EUR USD]}}$

$= \frac{1.6000}{1.2375}$

= 1.2929 Euro per GBP

⇒ Bid (GBP EURO)

= Bid (GBP USD) × Bid (USD EUR)

$= \frac{\text{Bid [GBP USD]}}{\text{Ask [EUR USD]}}$

$= \frac{1.6025}{1.9002}$

= 0.8434 Euro per GBP

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19

i) a) Customer will Buy Pound at Ask Rate

Assume We Buy 100 Pounds

Euro required = 100 × 1.2965
= 129.65

&

sale of 100 GBP in Market @ Bid Rate

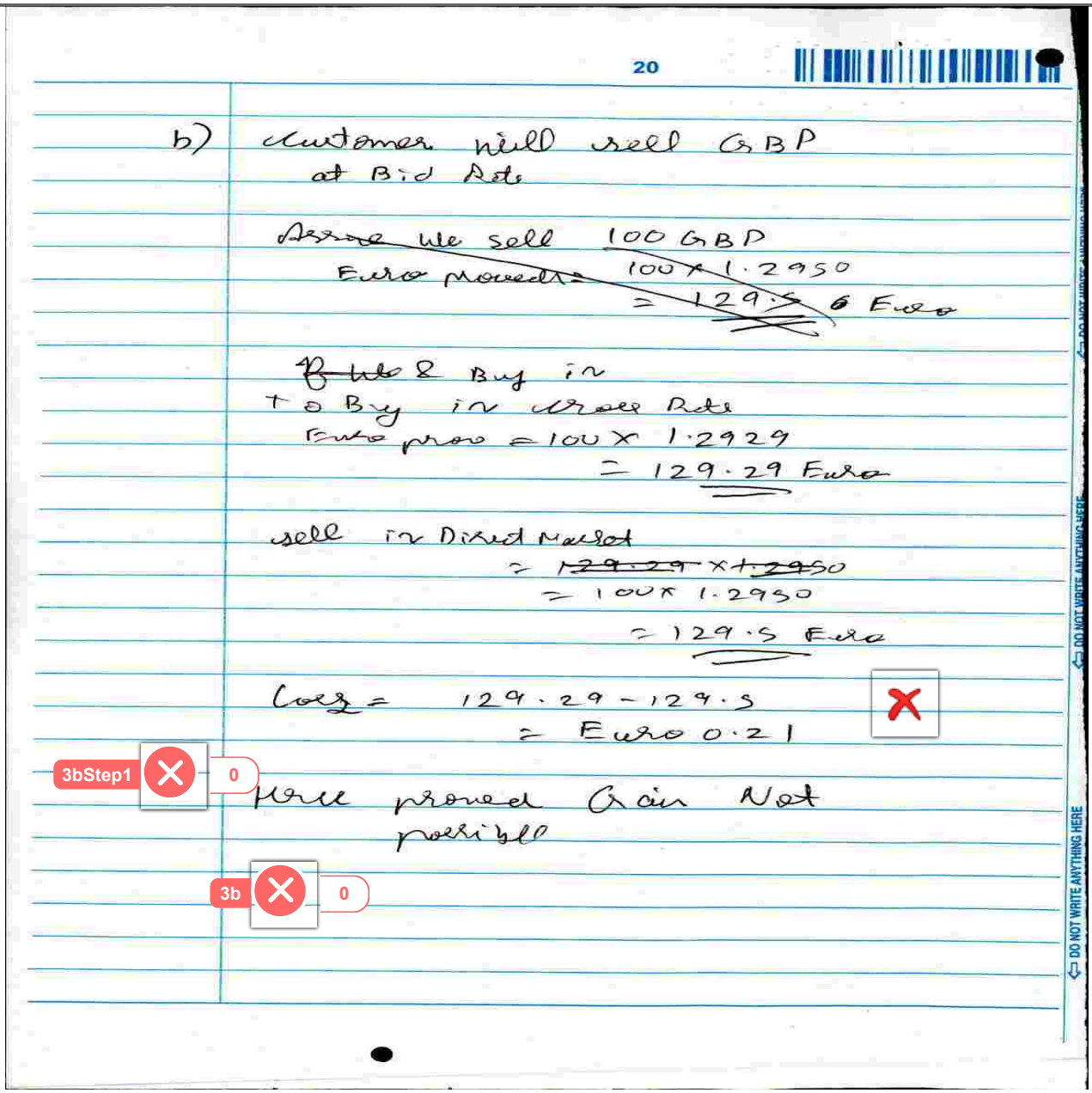
Proceed = 129.65 × 0.8434
= 109.346
~ 109.35 Euro

loss = 109.35 − 129.65
= (−) 20.30 Euro

Here proceed, gain Not possible in Case I

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20

b) Customer will sell GBP at Bid Rate

~~Assume~~ We sell 100 GBP
Euro proceeds = 100 × 1.2950
= ~~129.5~~ 6 Euro

~~To~~ & Buy in
To Buy in Cross Rate
Euro proc = 100 × 1.2929
= 129.29 Euro

sell in Direct Market
= ~~129.29 × 1.2950~~
= 100 × 1.2950
= 129.5 Euro

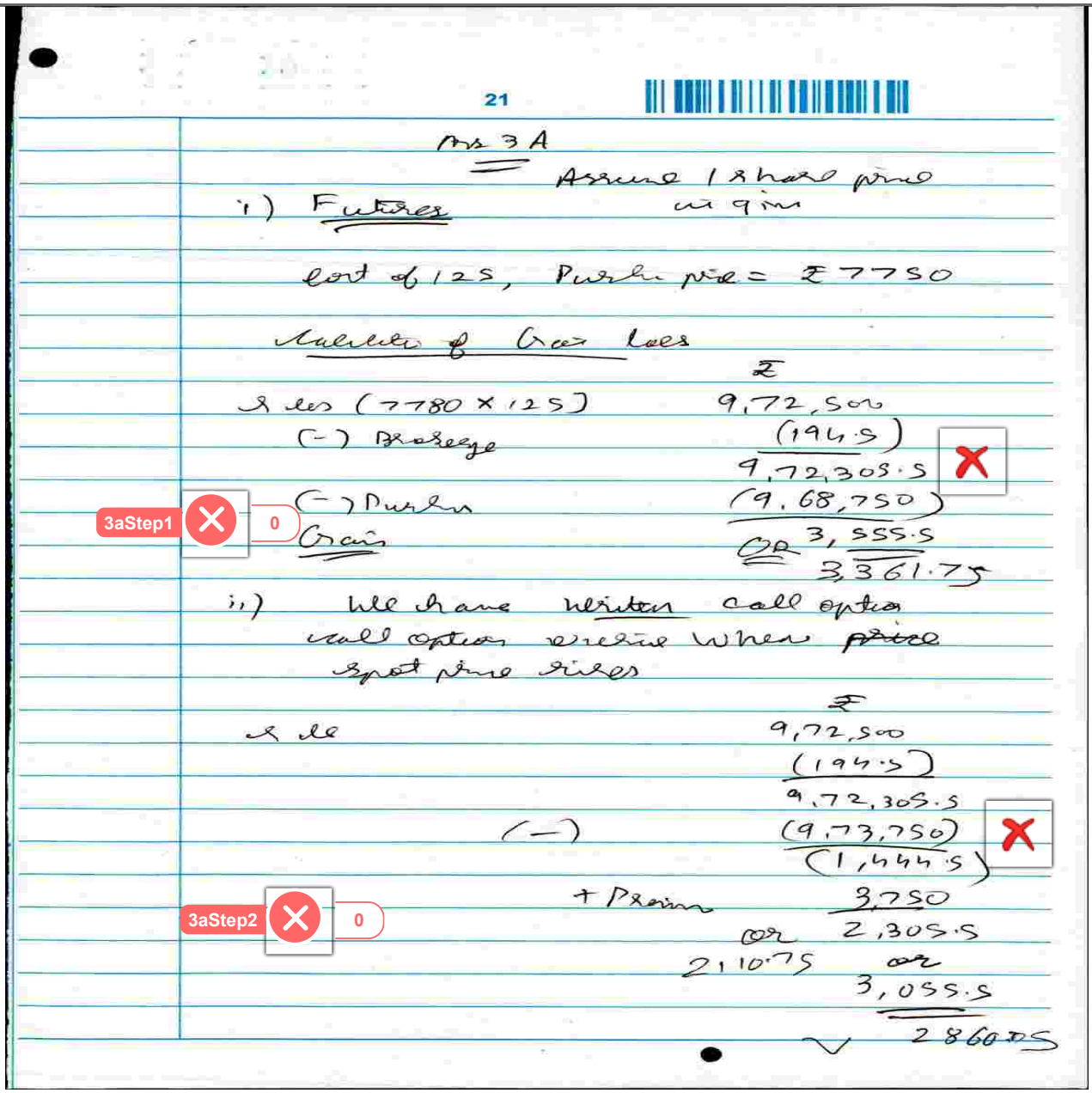
Loss = 129.29 − 129.5
= Euro 0.21

3bStep1 0

Here proved Gain Not possible

3b 0

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21

Ans 3 A

Assume 1 share price as 9 rs

i) Futures

Lot of 125, Purchase price = ₹7750

Calculation of Gross loss

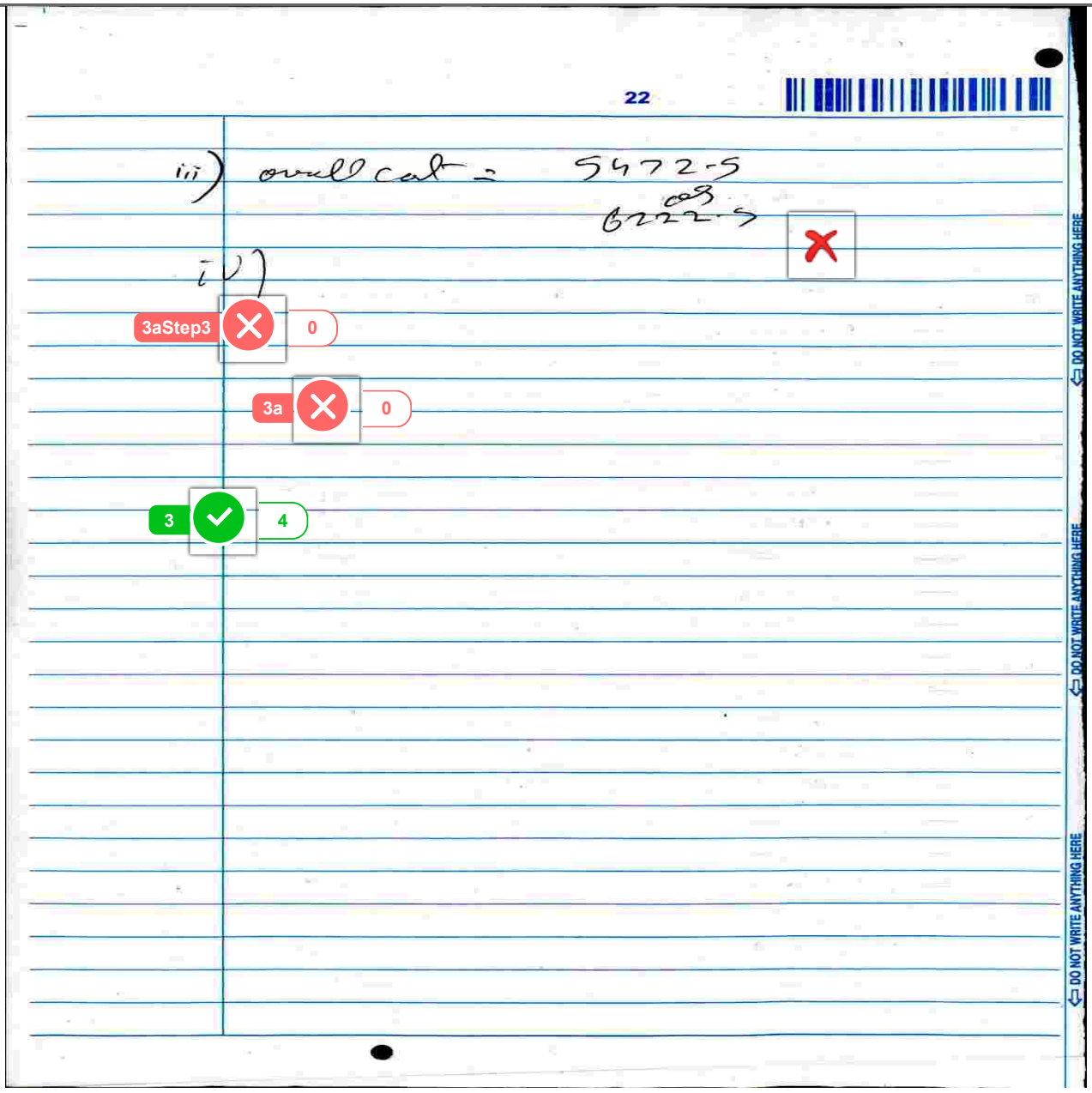
	₹
Sales (7780 × 125)	9,72,500
(-) Brokerage	(194·5)
	9,72,305·5
(-) Purchase	(9,68,750)
Gross	3,555·5
OR	3,361·75

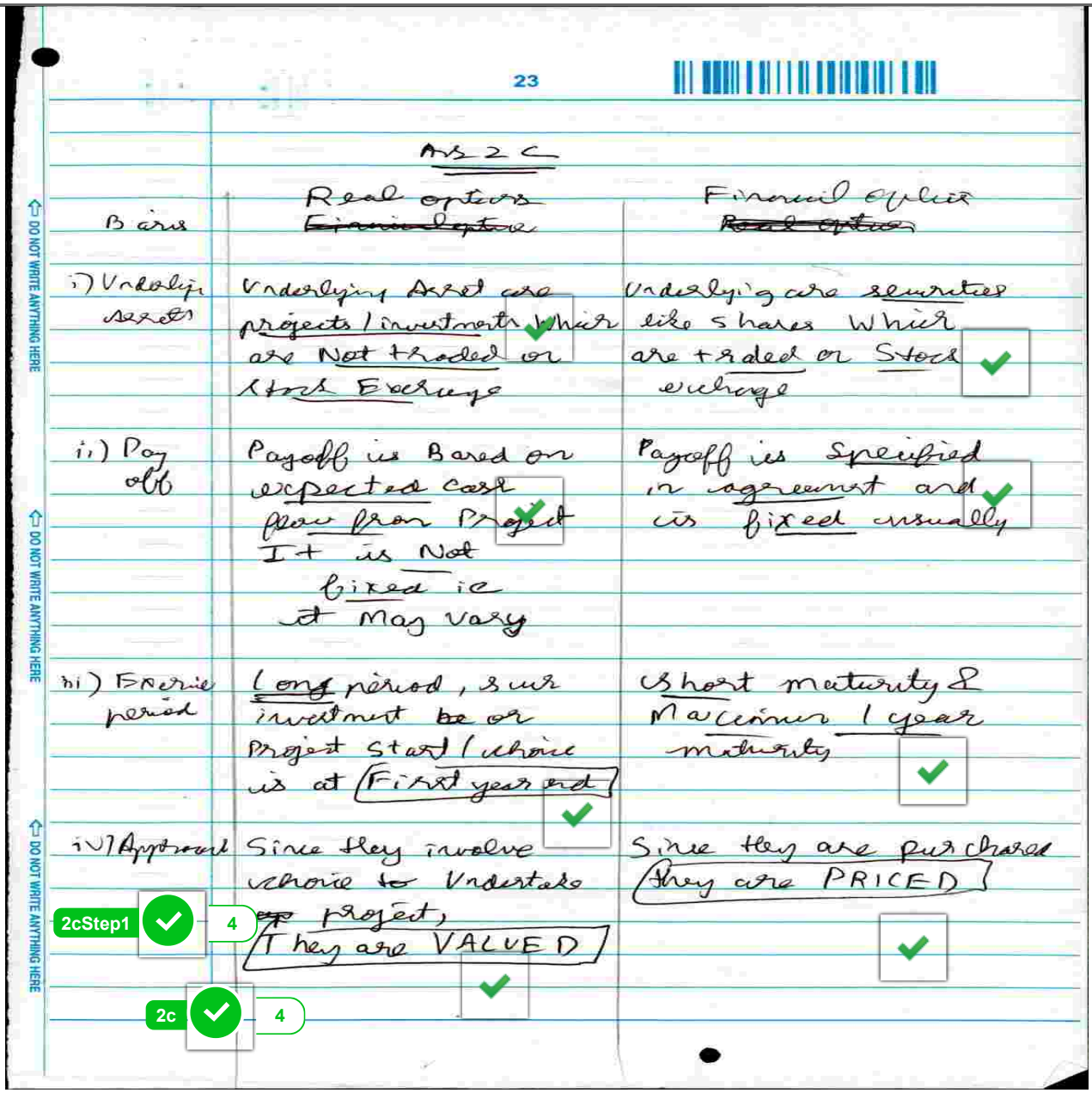
ii) We shall have written call option and call option exercise when spot price rises

	₹
Sales	9,72,500
	(194·5)
	9,72,305·5
(-)	(9,73,750)
	(1,444·5)
+ Premium	3,750
	2,305·5
OR	OR
2,110·75	3,055·5
	2860·75

3aStep1 0

3aStep2 0


22
iii) ovall cost = 5472-5
6222-5
iv)
3aStep3
0
3a
0
3
4
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23

Ans 2 c

Basis	Real options	Financial options
i) Underlying assets	Underlying Asset are projects / investments which are Not traded on Stock Exchange	Underlying are securities like shares which are traded on Stock exchange
ii) Pay off	Payoff is Based on expected cash flow from Project It is Not fixed ie it may vary	Payoff is specified in agreement and is fixed usually
iii) Expiry period	Long period, such investment be or Project start / choice is at First year end	Short maturity & Maximum 1 year maturity
iv) Approach	Since they involve choice to Undertake project, They are VALUED	Since they are purchased they are PRICED

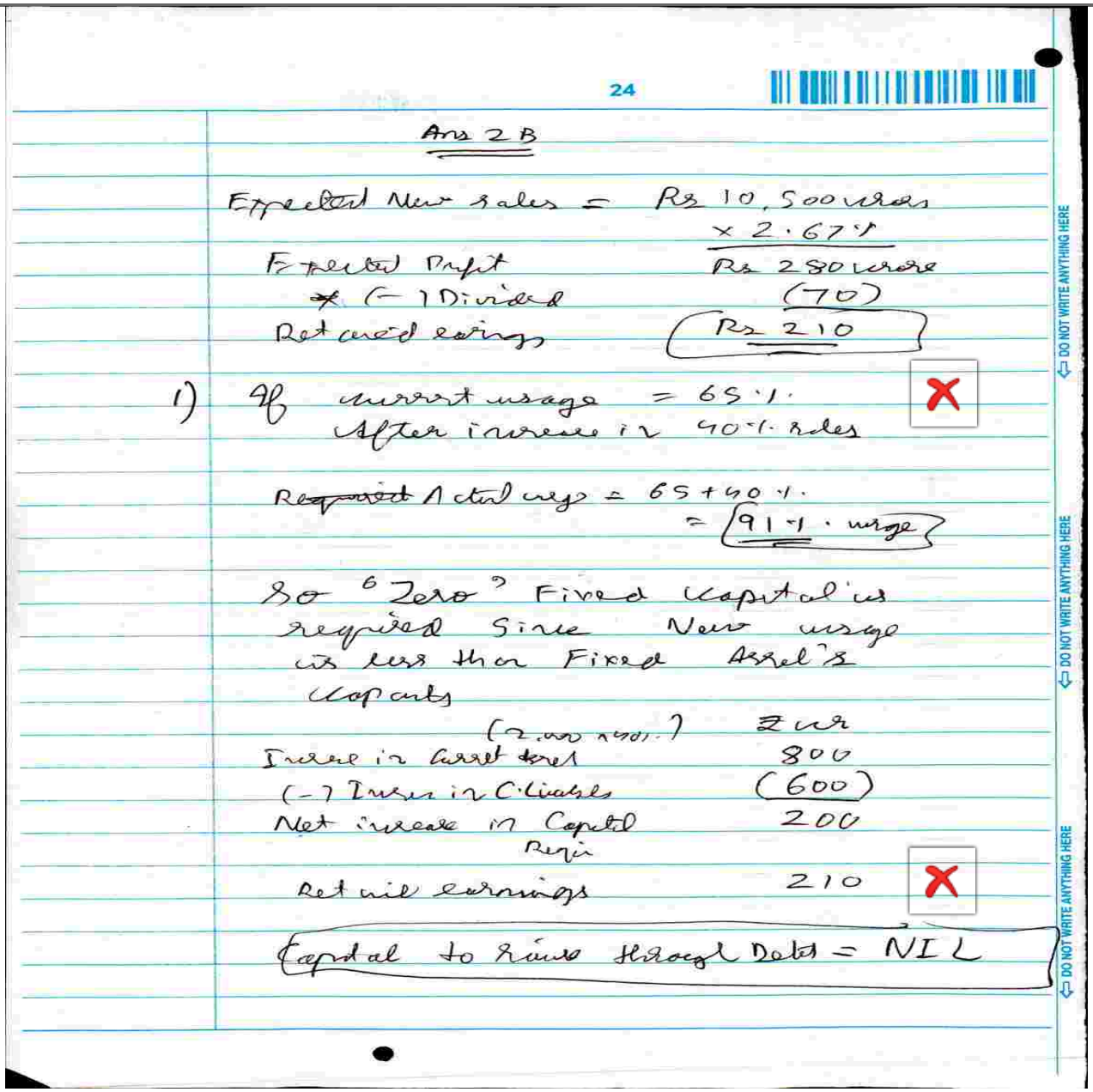
2cStep1 4

2c 4

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24

Ans 2 B

Expected New sales = Rs 10,500 crores
× 2·67%
Rs 280 crore

Expected Profit (70)
(-) Dividend
Retained earnings Rs 210

1) If current usage = 65%
After increase in 40% sales

Required Actual usage = 65 + 40 %.
= 91·1 % usage

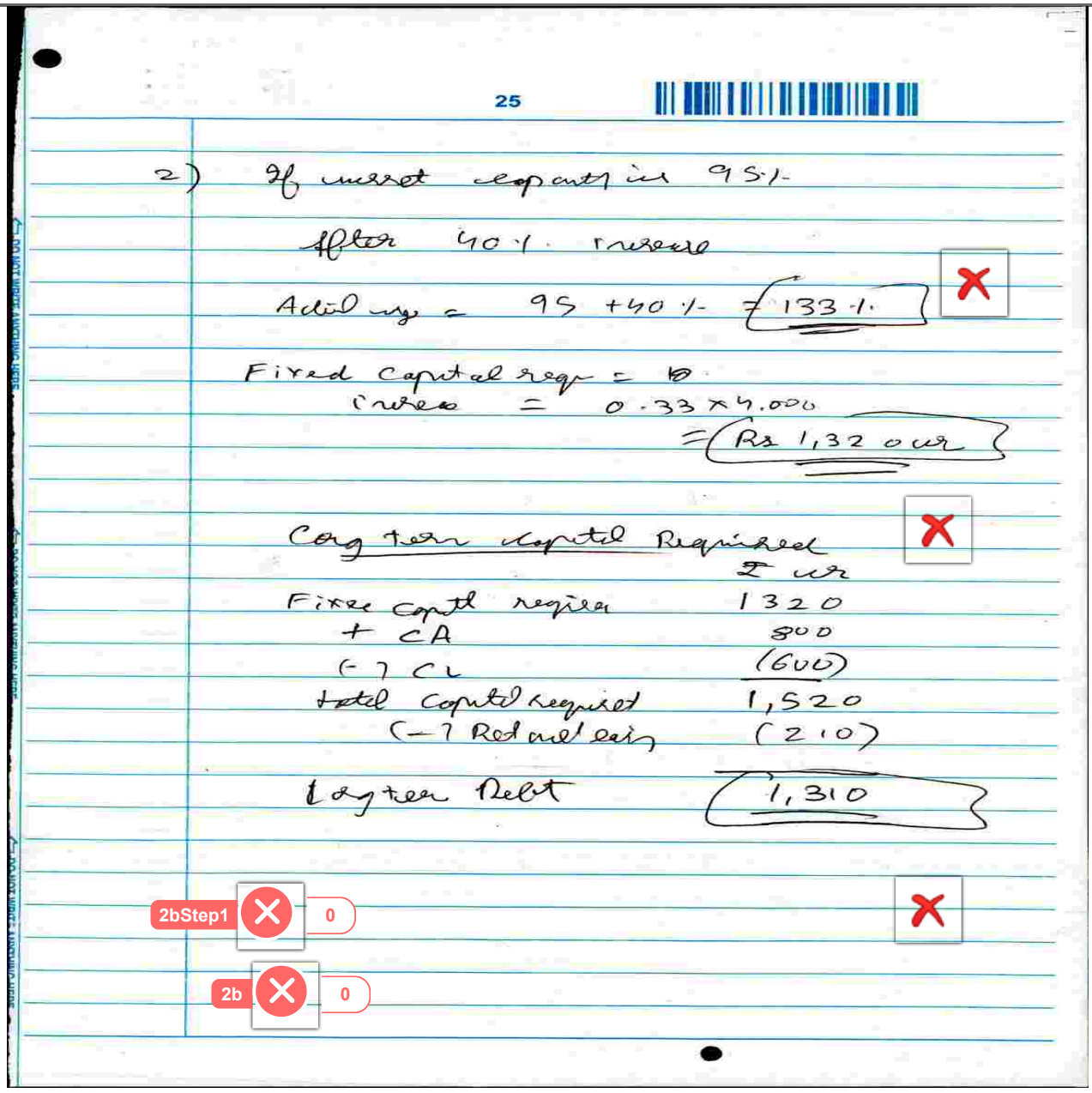
So "Zero" Fixed Capital is required since New usage is less than Fixed Asset's capacity

(2,000 × 40%) Rs cr
Increase in Current level 800
(-) Increase in Liabilities (600)
Net increase in Capital Required 200

Retained earnings 210

Capital to raise through Debt = NIL

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25

2) If current capacity is 95%

After 40% increase

Actual req = 95 + 40% = 133%

Fixed Capital req = ₹

increase = 0.33 × 4,000

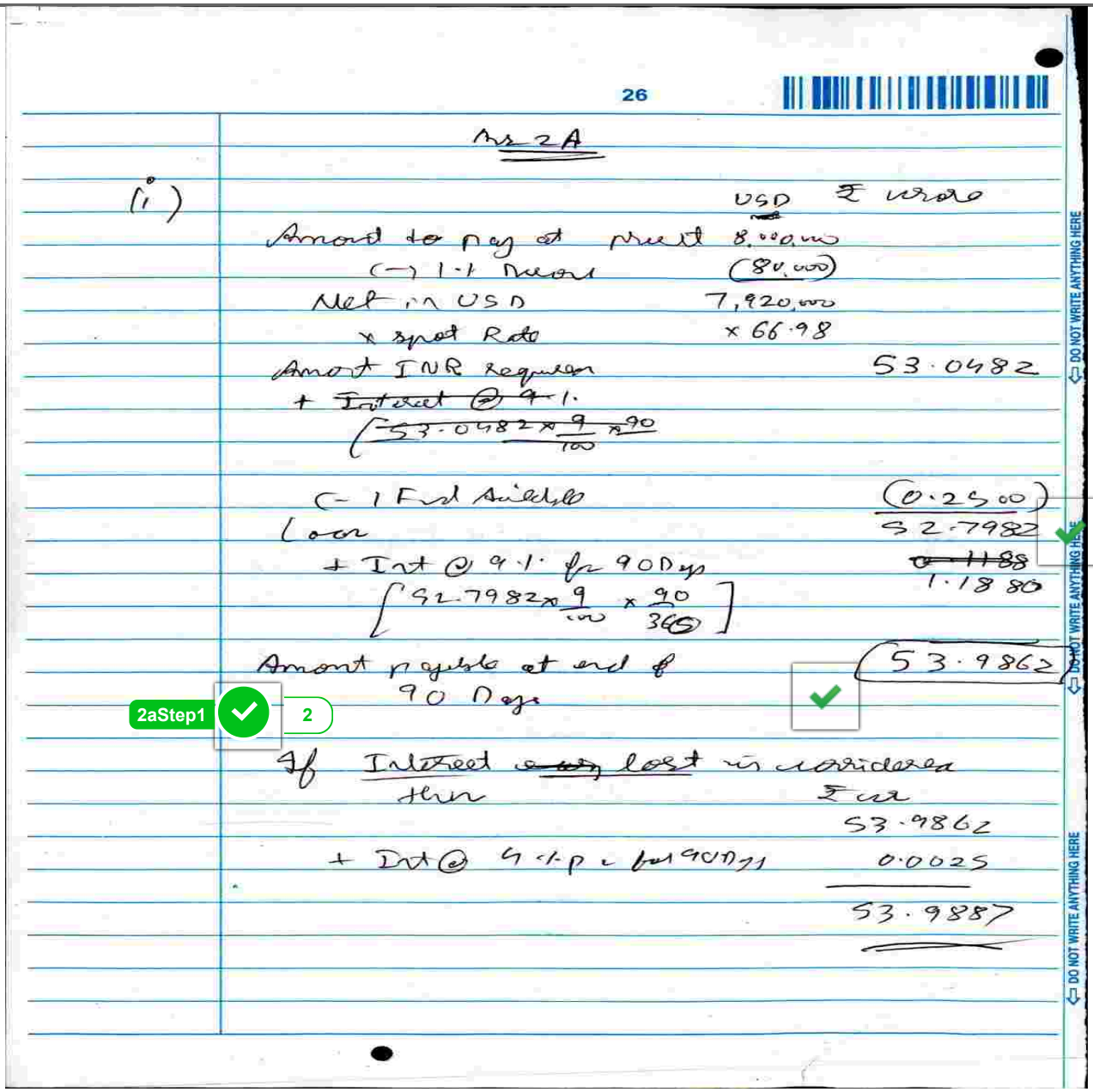
= Rs 1,320 cr

Long term Capital Required

	₹ cr
Fixed Capital required	1320
+ CA	800
(-) CL	(600)
Total Capital required	1,520
(-) Retained earning	(210)
Long term Debt	1,310

2bStep1 0

2b 0



26

Ans 2A

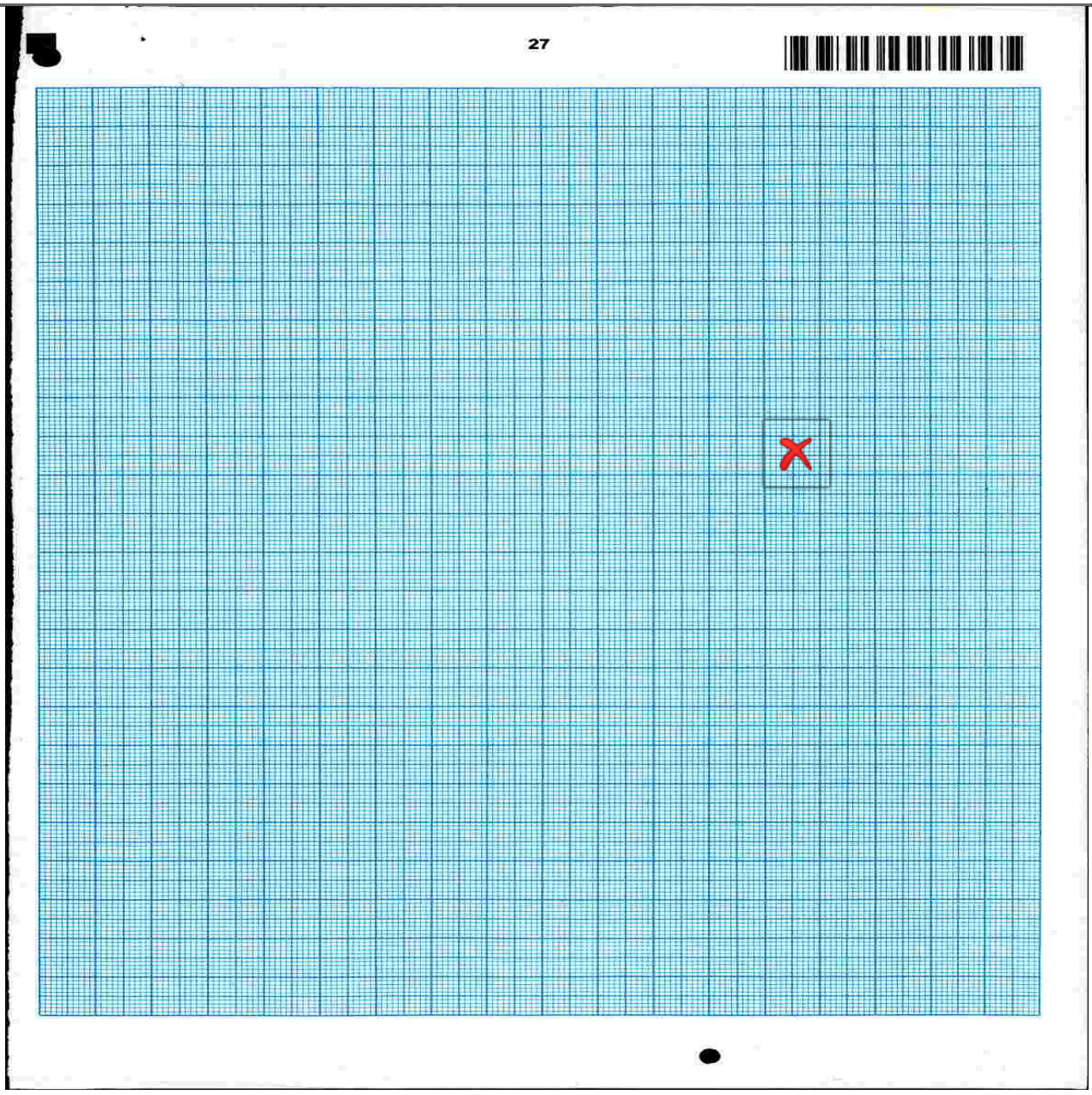
(i)

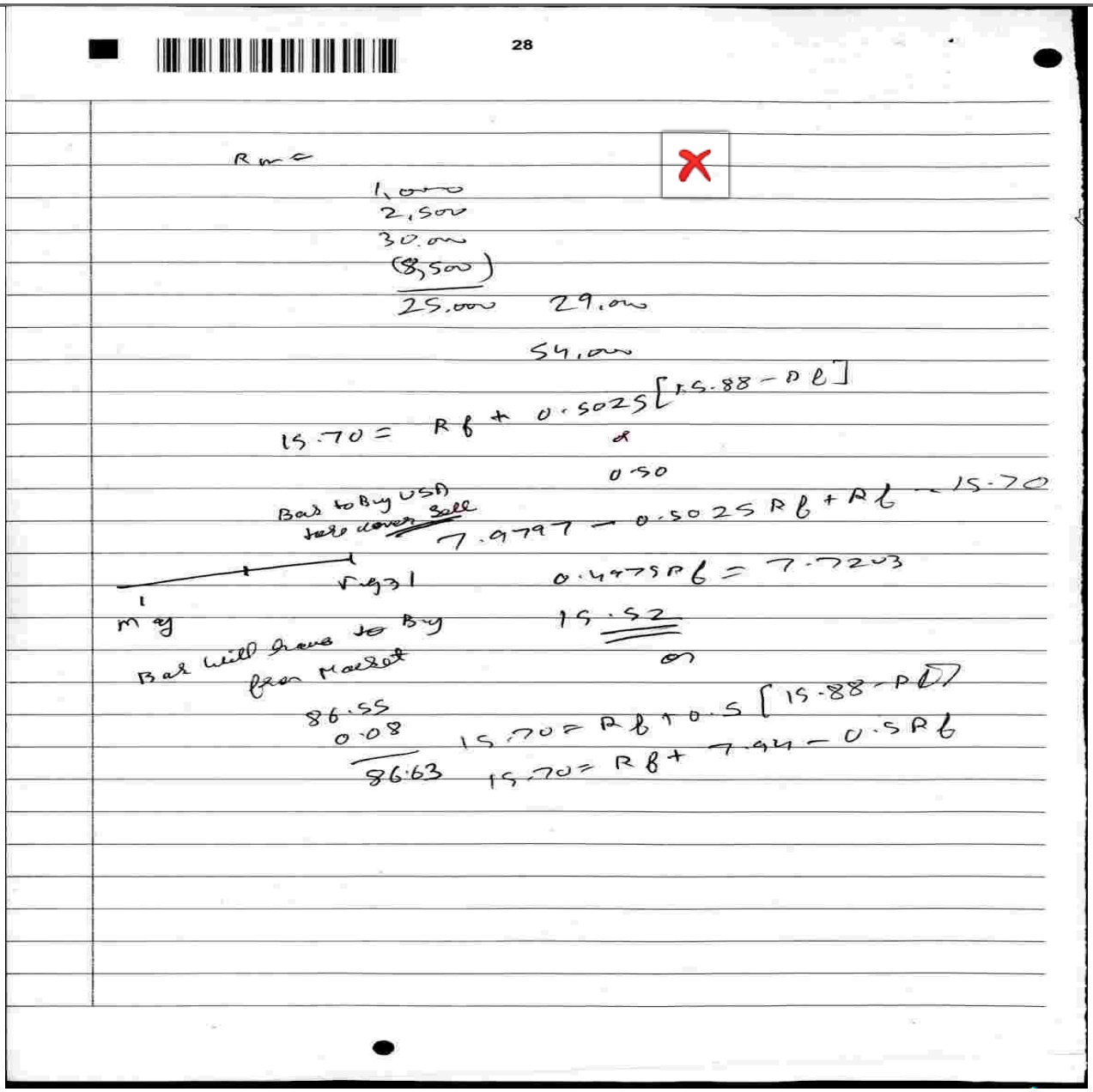
	USD	₹ where
Amount to pay at Nov 1	8,000,000	
(-) 1% Deposit	(80,000)	
Net in USD	7,920,000	
x spot Rate	x 66.98	
Amount INR required		53.0482
+ ~~Interest @ 9%~~		
~~(53.0482 x 9/100 x 90~~		
(- 1 Fwd Swap)		(0.2500)
Loan		52.7982
+ Int @ 9% for 90 Days [52.7982 x 9/100 x 90/365]		~~0.1188~~ 1.1880
Amount payable at end of 90 Days		53.9862

2aStep1 2

If Interest ~~cost~~ lost is considered then

	₹ in
	53.9862
+ Int @ 9% p.a for 90 Days	0.0025
	53.9887


27


28
Rmc
1,000
2,500
30.000
(8,500)
25,000
29,000
54,000
15.70 = Rf + 0.5025 [15.88 − Rf]
0.50
Bank to Buy USD here down Sell
7.9797 − 0.5025 Rf + Rf = 15.70
Rupee
0.4975 Rf = 7.7203
May
15.52
Bank will draw to Buy from Market
86.55
0.08
86.63
15.70 = Rf + 0.5 [15.88 − Rf]
15.70 = Rf + 7.94 − 0.5 Rf

2117679-01

Addl. Book No. ..... 1 .....

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ADDL. BOOK

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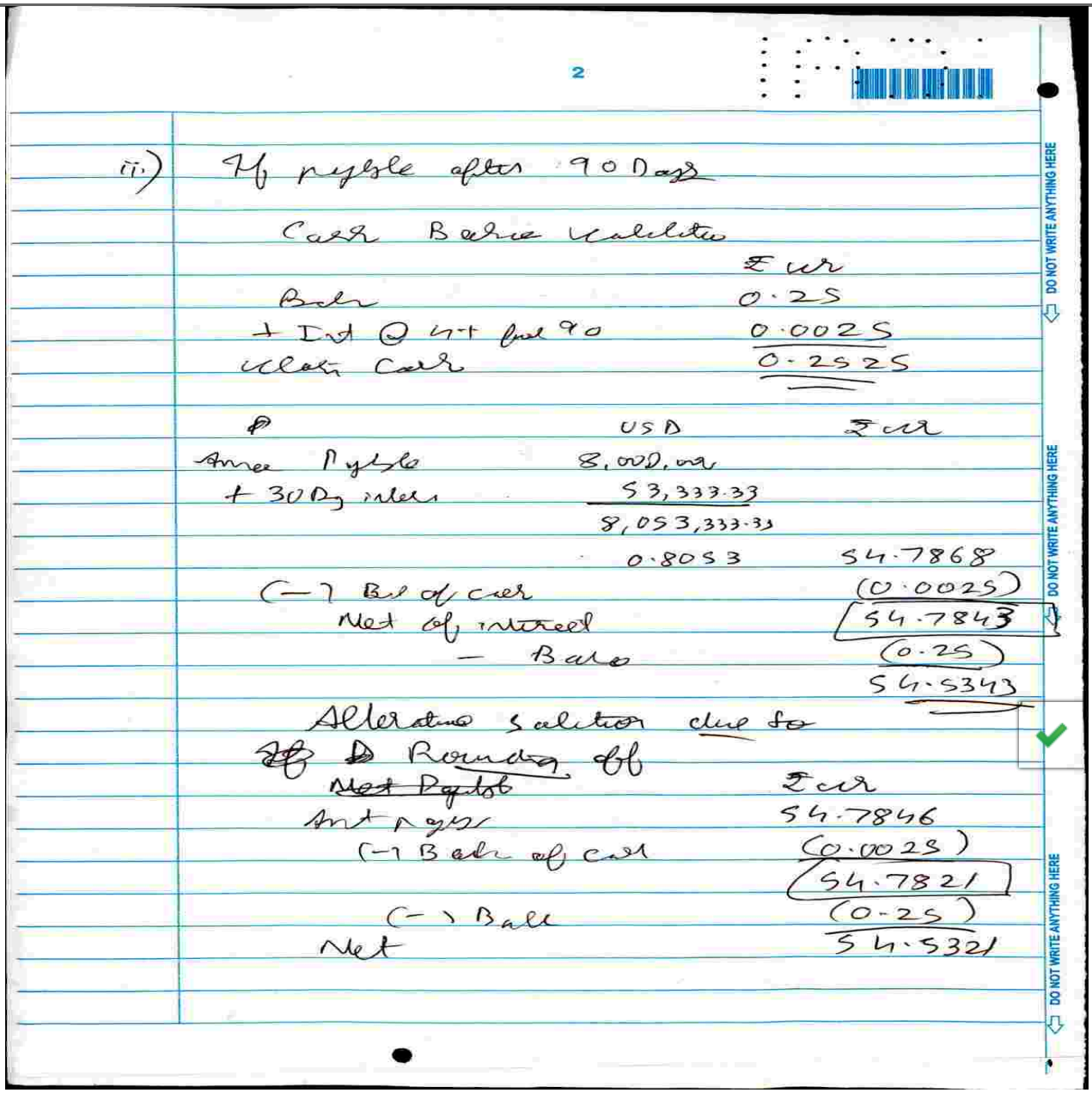
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i) Calculation of Rate at 60 Days forward

	₹ per
Cash open Rate	0.2500
+ Int @ 4% for 60 Days	0.0017
	0.2517

	₹ per
Payment required [8 mill × 67.16]	53.7280
(-) Rate recp. with	(0.2517)
Net loan	53.4763
+ Interest @ 9% for 30 Days [53.4763 × 9/100 × 30/360]	0.4011
Payable at end	53.8774
If opportunity cost considered the	53.8774
+ Int for 30 Days	0.0008
	53.8782

2aStep2 2



2

ii) If payble after 90 Days

Cash Basis calculation

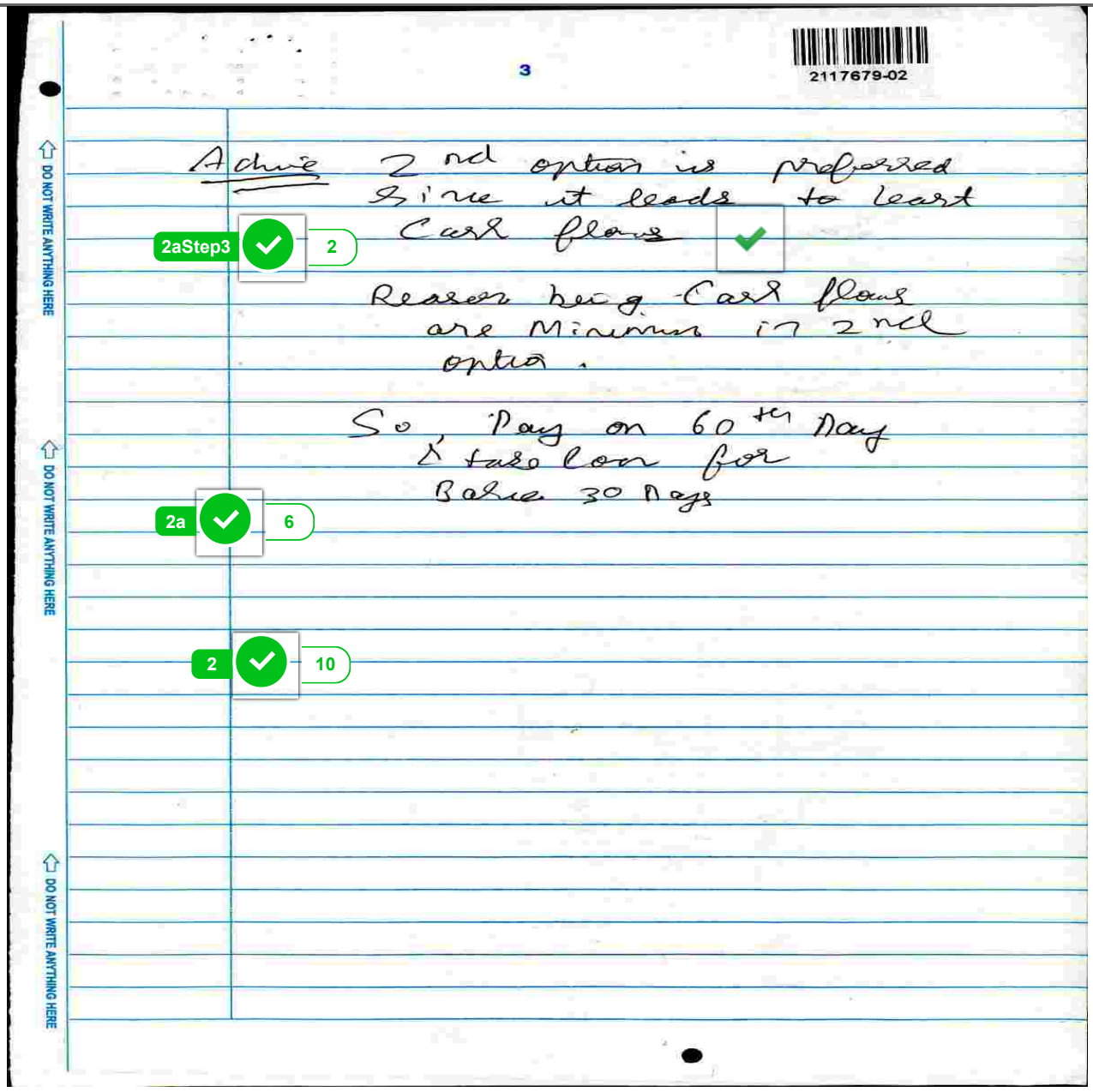
		₹ cr
Bal		0.25
+ Int @ 4% for 90		0.0025
Total Cash		0.2525

	USD	₹ cr
Amt Payble	8,000,000	
+ 30 Dy interest	53,333.33	
	8,053,333.33	
	0.8053	54.7868
(-) Bal of cash		(0.0025)
Net of interest		54.7843
— Basis		(0.25)
		54.5343

Alternative solution due to Rounding off

	₹ cr
Amt Payble	54.7846
(-) Bal of cash	(0.0025)
	54.7821
(-) Bal	(0.25)
Net	54.5321

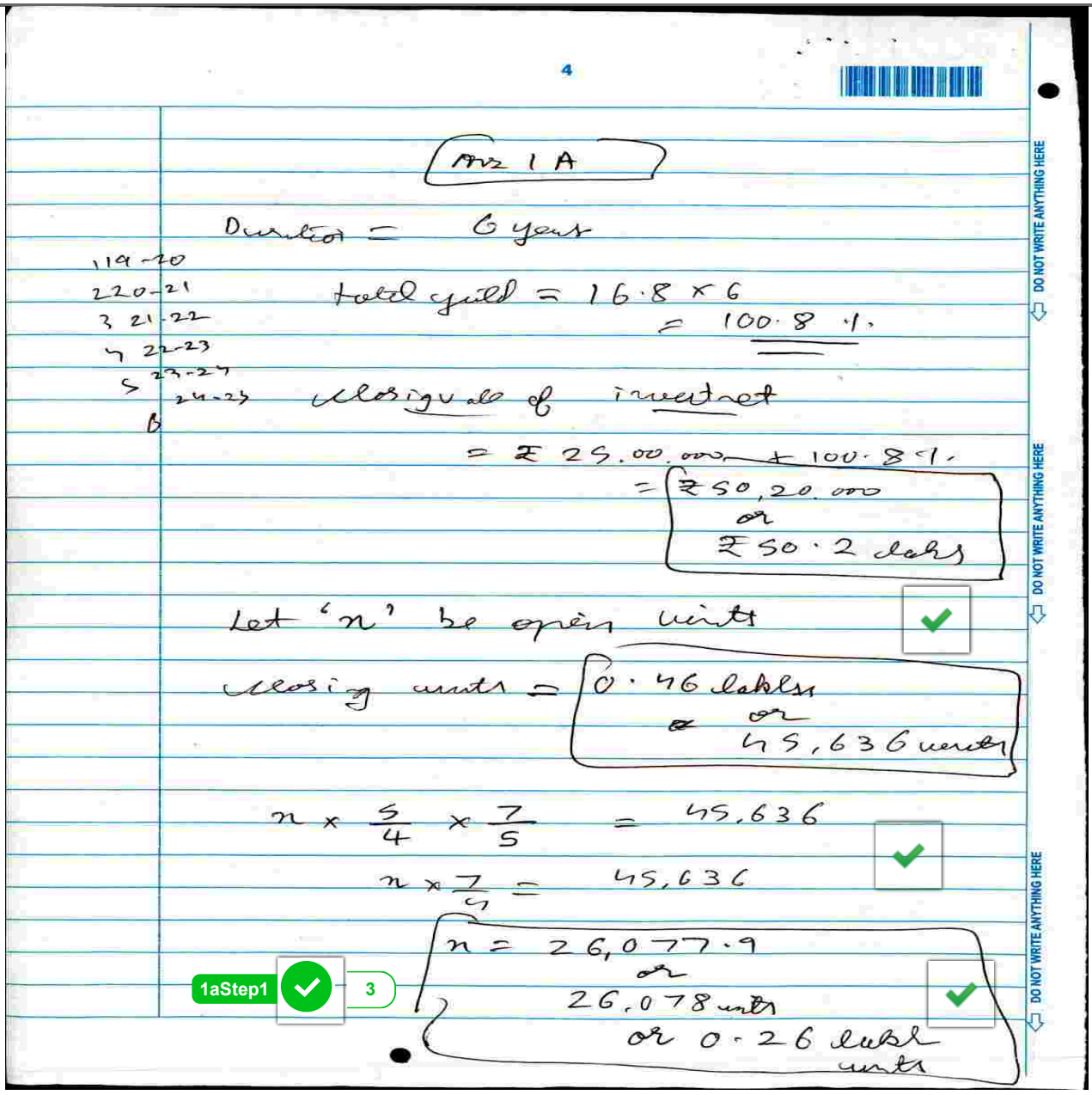
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2aStep3 2

2a 6

2 10



4

Ans 1 A

Duration = 6 years

19-20
20-21
3 21-22
4 22-23
5 23-24
24-25
6

total yield = 16.8 × 6
= 100.8 L.

closing value of investment
= ₹ 25.00.000 + 100.8 L.
= ₹ 50,20.000
or
₹ 50.2 lakhs

Let 'n' be open units

closing units = 0.46 lakhs
or
45,636 units

$n \times \frac{5}{4} \times \frac{7}{5} = 45,636$

$n \times \frac{7}{4} = 45,636$

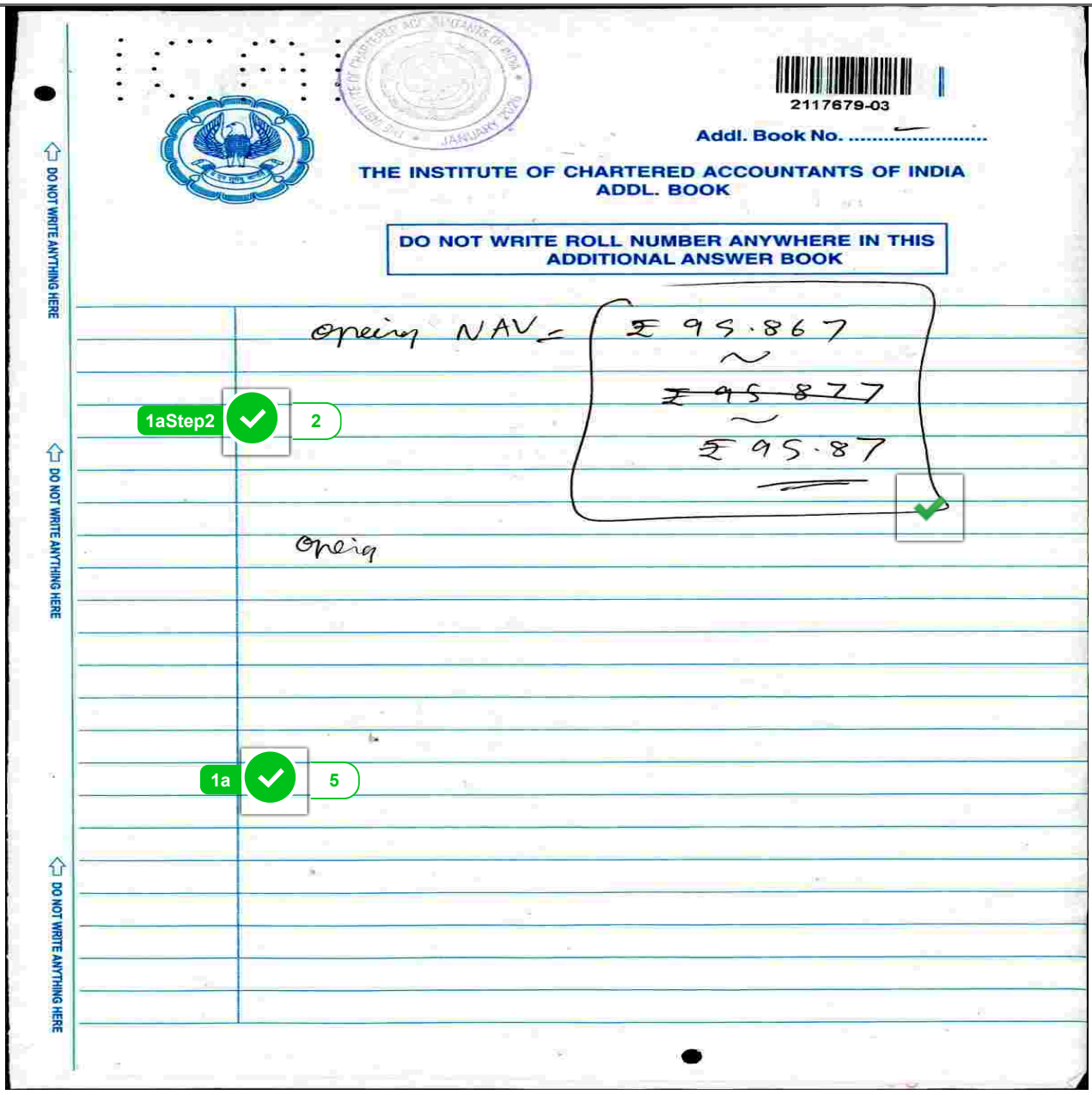
n = 26,077.9
or
26,078 units
or 0.26 lakh units

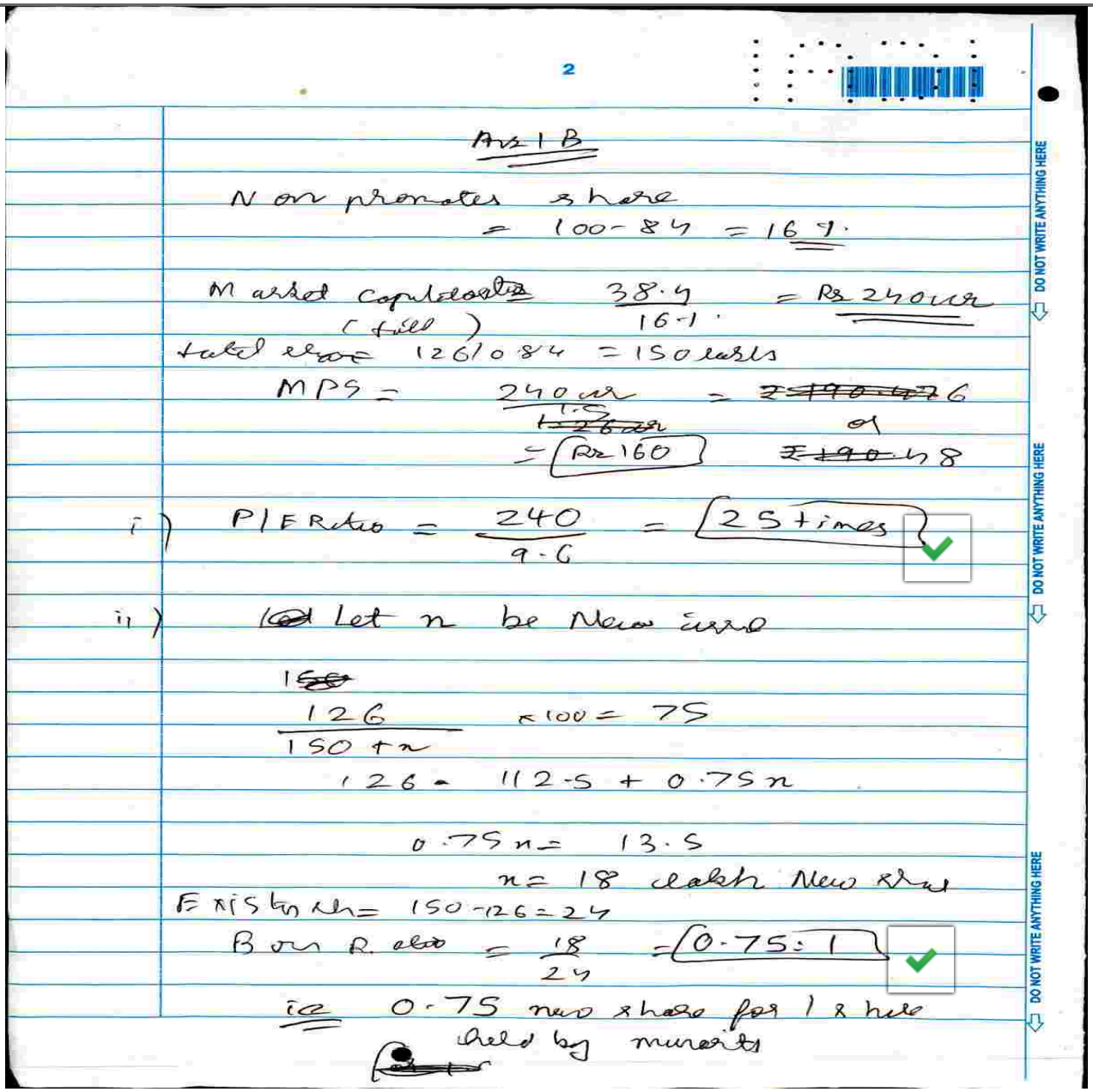
1aStep1 3

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Code:	**FN2AF117679**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**53**





2

Ans 1 B

Non promoters share
= 100 - 84 = 16 %.

Market capitalisation (full) 38.4 / 16.1 = Rs 240 crore

total share 126/0.84 = 150 lakhs

MPS = 240 cr / 1.5 = Rs 160

i) PE Ratio = 240 / 9.6 = 25 times

ii) Let n be New issue

126 / (150 + n) × 100 = 75

126 = 112.5 + 0.75n

0.75n = 13.5

n = 18 lakh New shares

Existing = 150 - 126 = 24

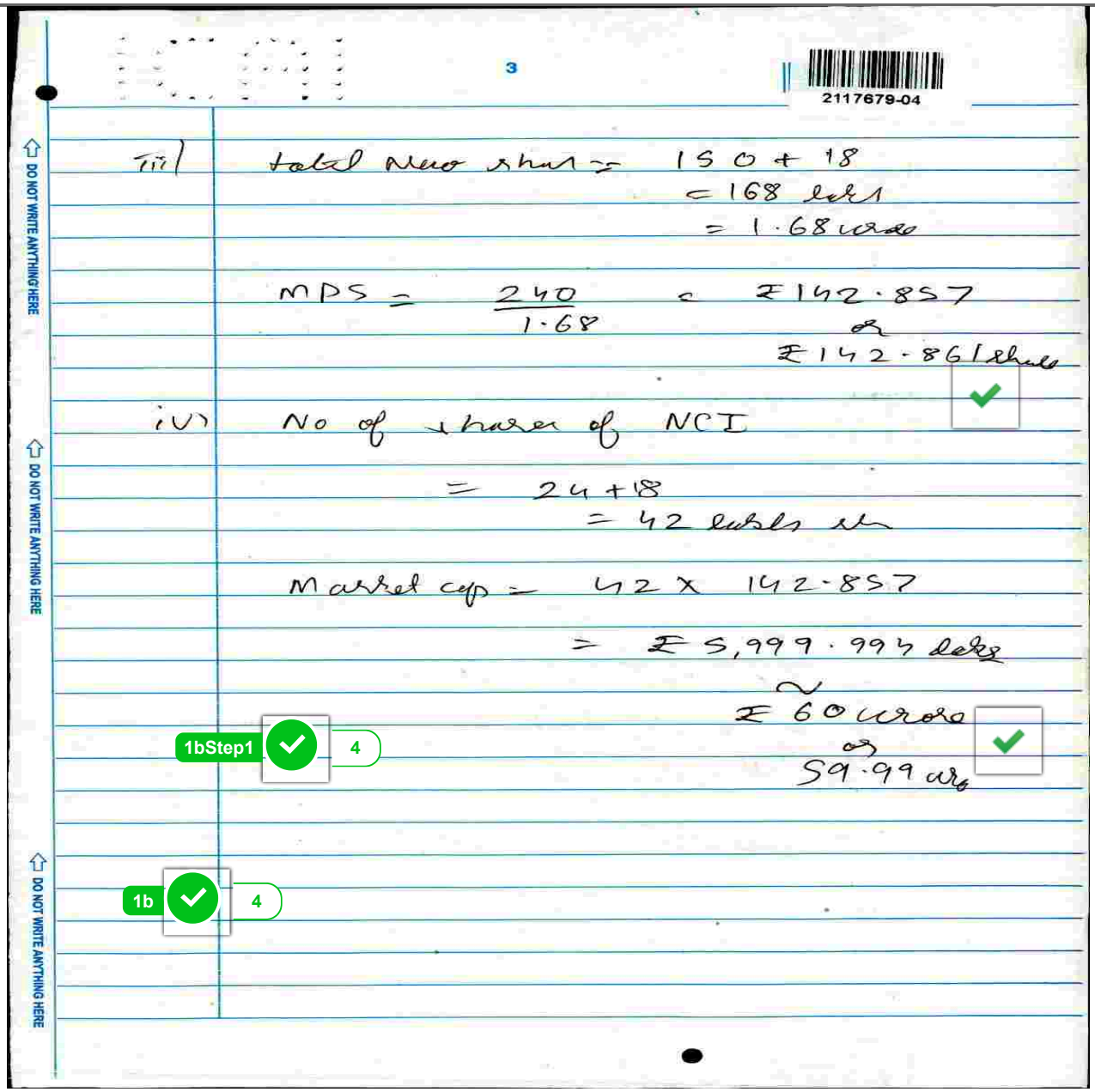
Bonus Ratio = 18 / 24 = 0.75 : 1

ie 0.75 new shares for 1 share held by promoters

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3

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(iii) Total New shares = 150 + 18
= 168 lakhs
= 1.68 crore

MPS = 240 / 1.68 = ₹142.857
or
₹142.86 / share

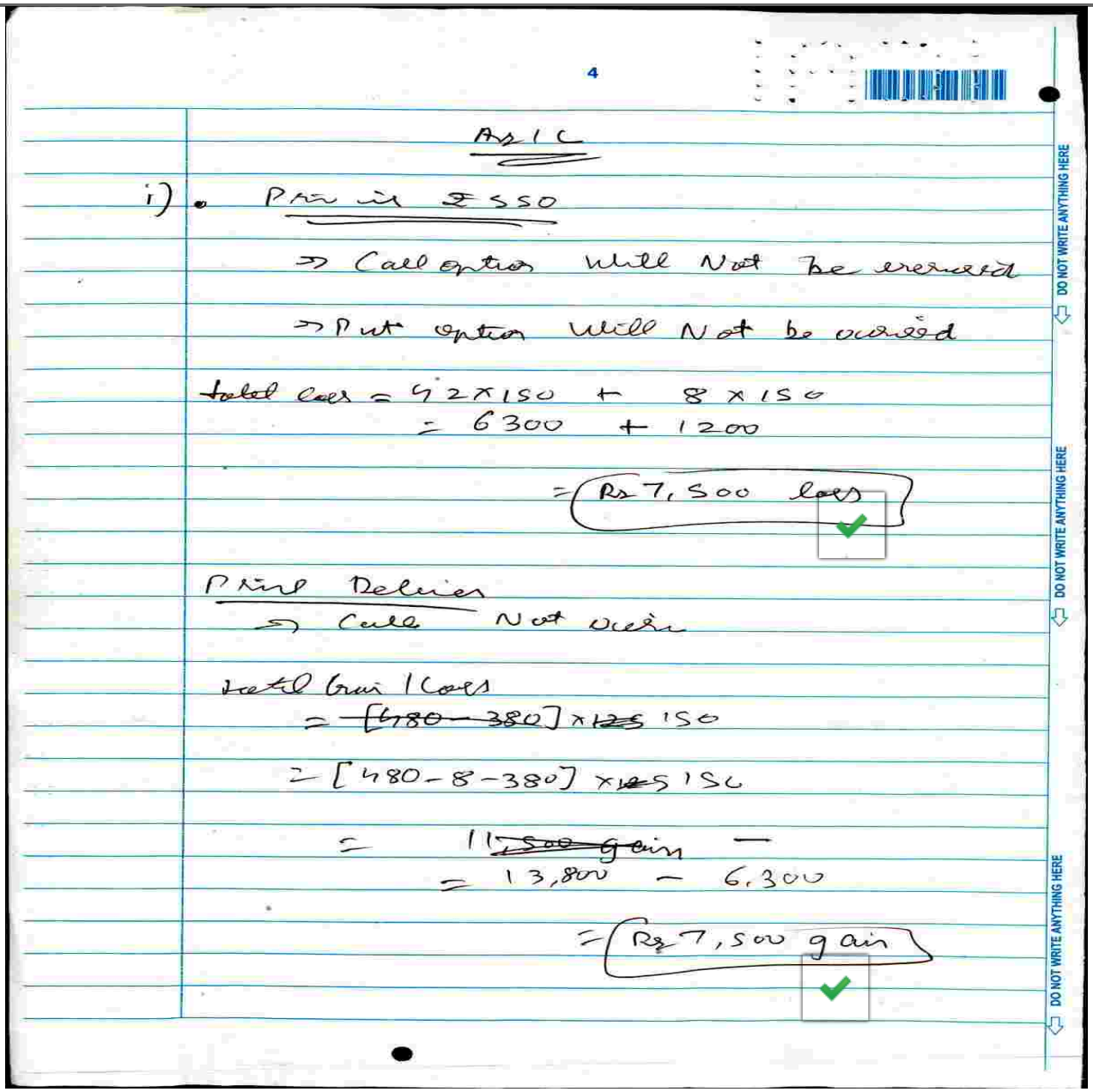
(iv) No of shares of NCI
= 24 + 18
= 42 lakhs shares

Market cap = 42 × 142.857
= ₹5,999.994 lakhs
≈ ₹60 crore
or
59.99 crs

1bStep1 4

1b 4

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4

Ans 1 C

i) • Price is ₹ 550

⇒ Call option will Not be exercised

⇒ Put option will Not be exercised

~~total cost~~ = 42 × 150 + 8 × 150
= 6300 + 1200

= Rs 7,500 loss ✓

Price Decrease

⇒ Call Not exercise

~~total~~ Gain / Loss

= ~~[480 − 380] × 125 150~~

= [480 − 8 − 380] × ~~125~~ 150

= ~~11,500 gain~~ —

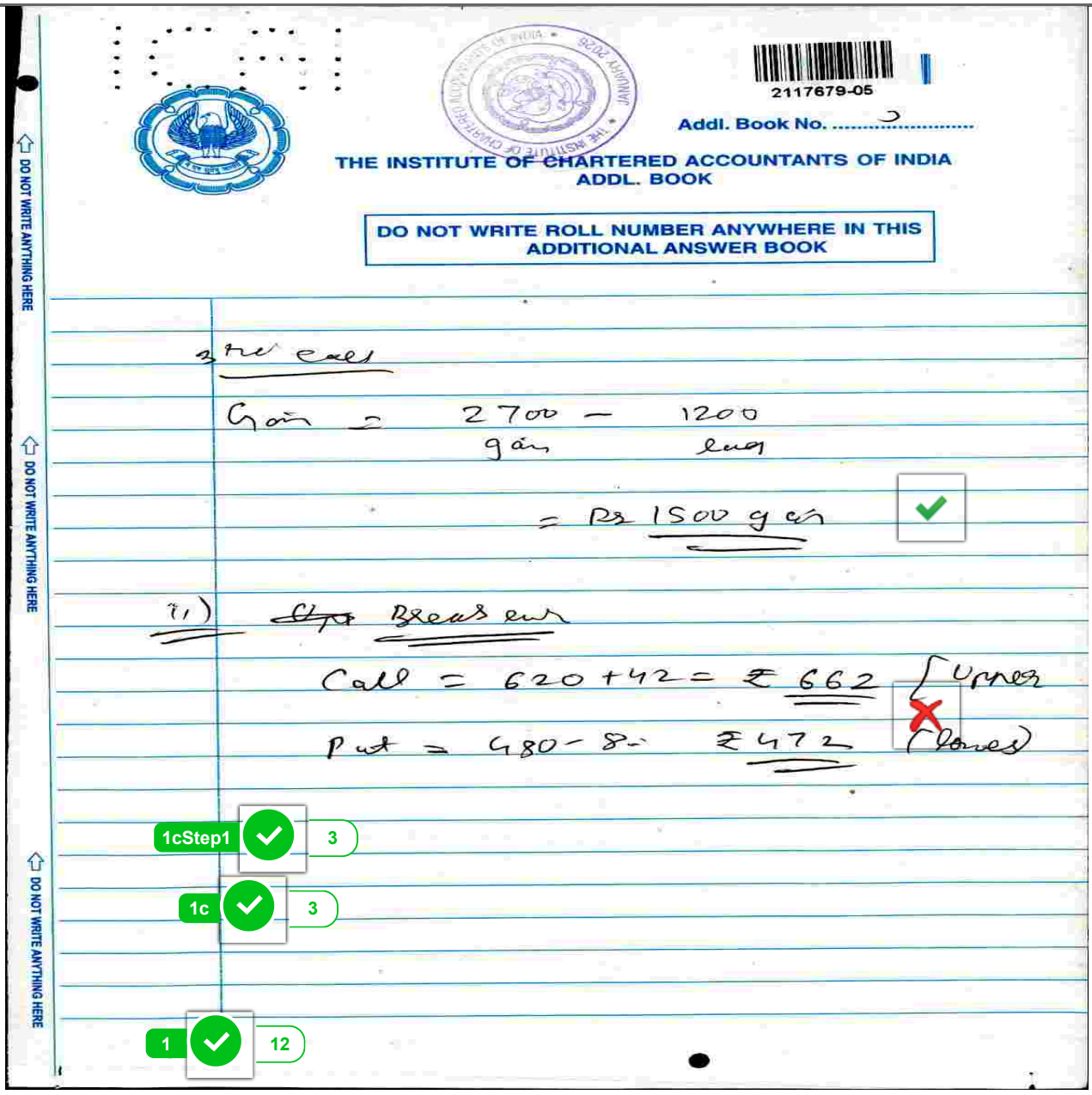
= 13,800 − 6,300

= Rs 7,500 gain ✓

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3rd call

Gain = 2700 − 1200
gain loss

= Rs 1500 gain

(i) Break even

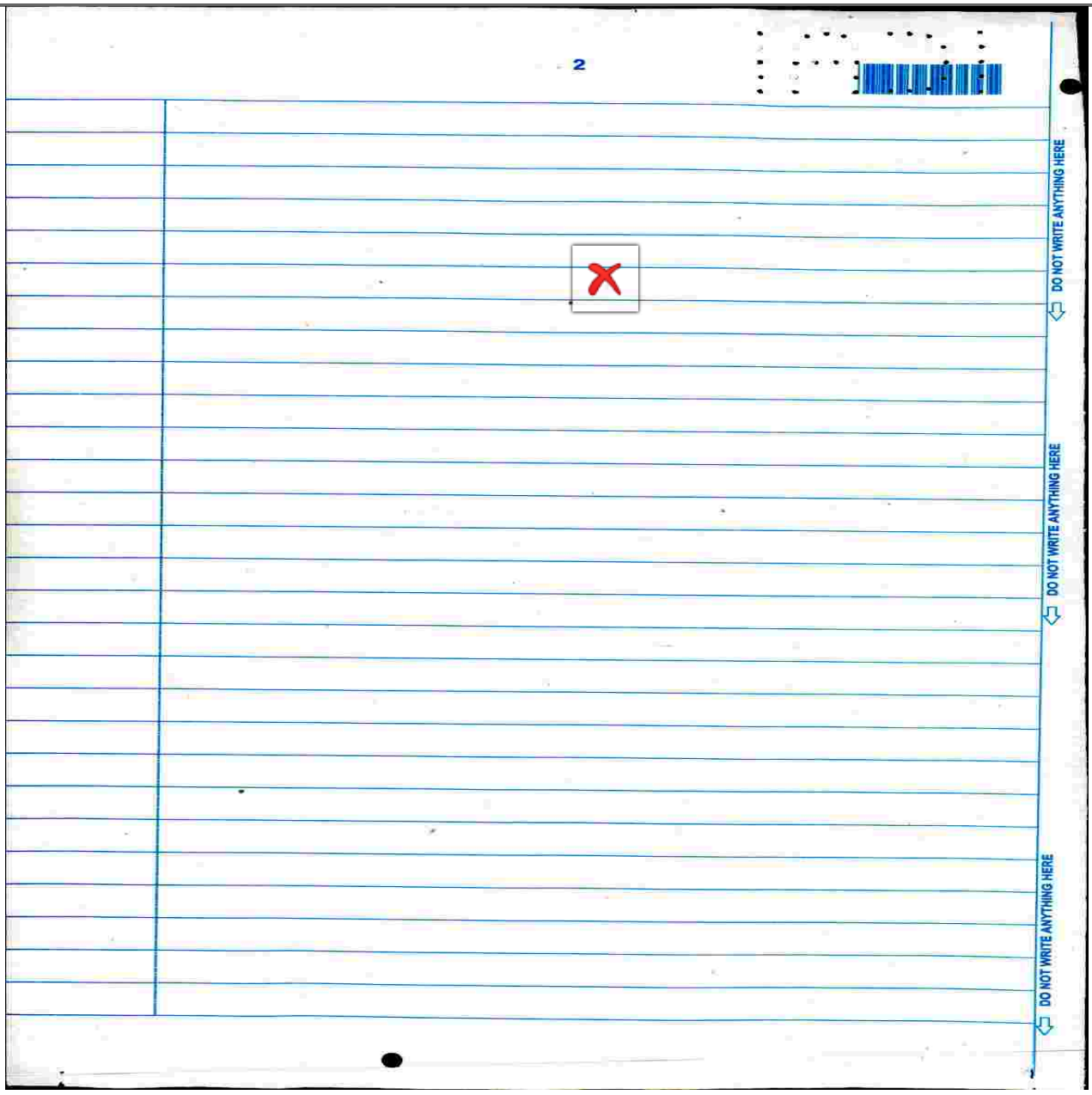
Call = 620 + 42 = ₹ 662 (Upper)

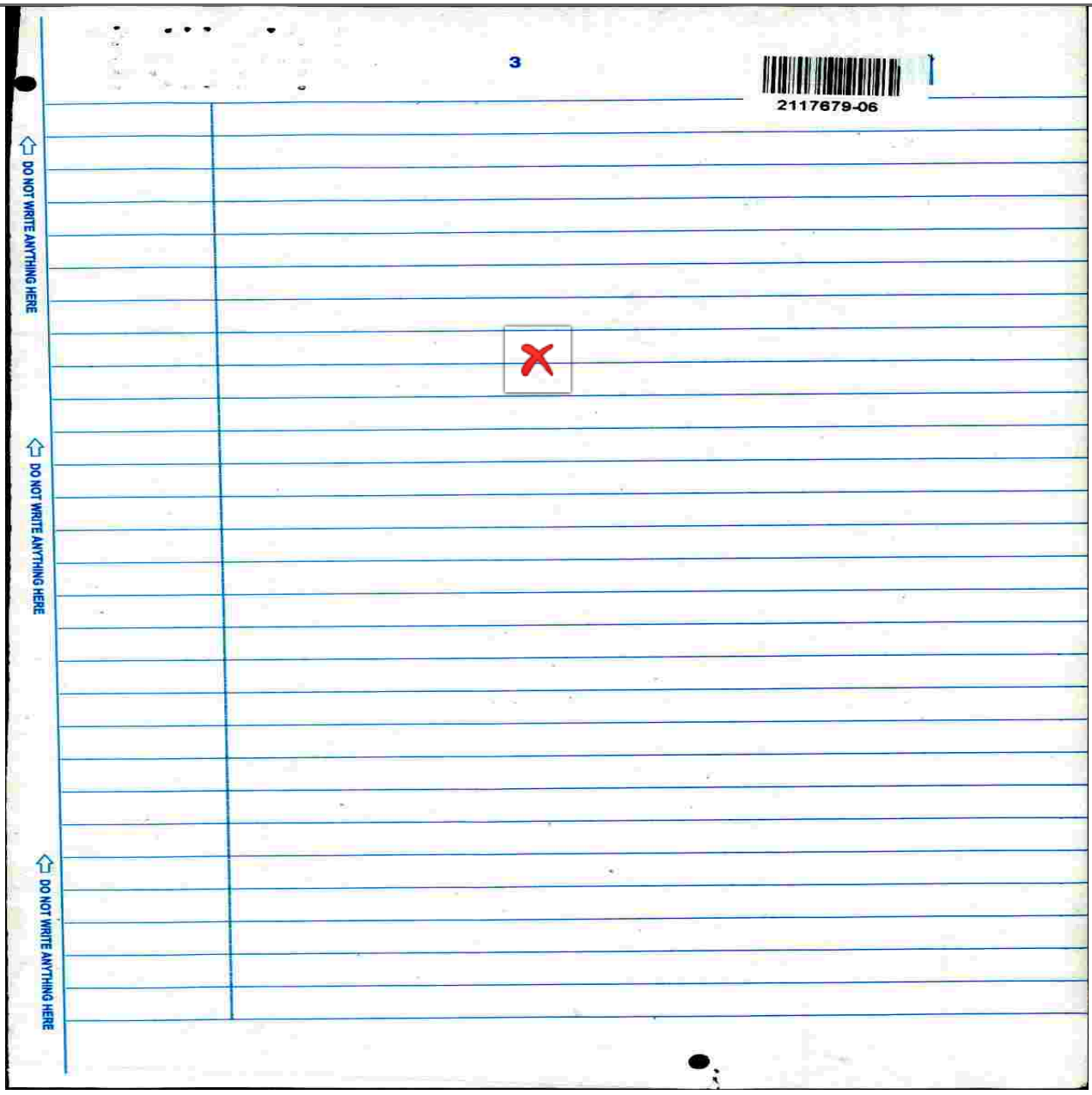
Put = 480 − 8 = ₹ 472 (Lower)

1cStep1 3

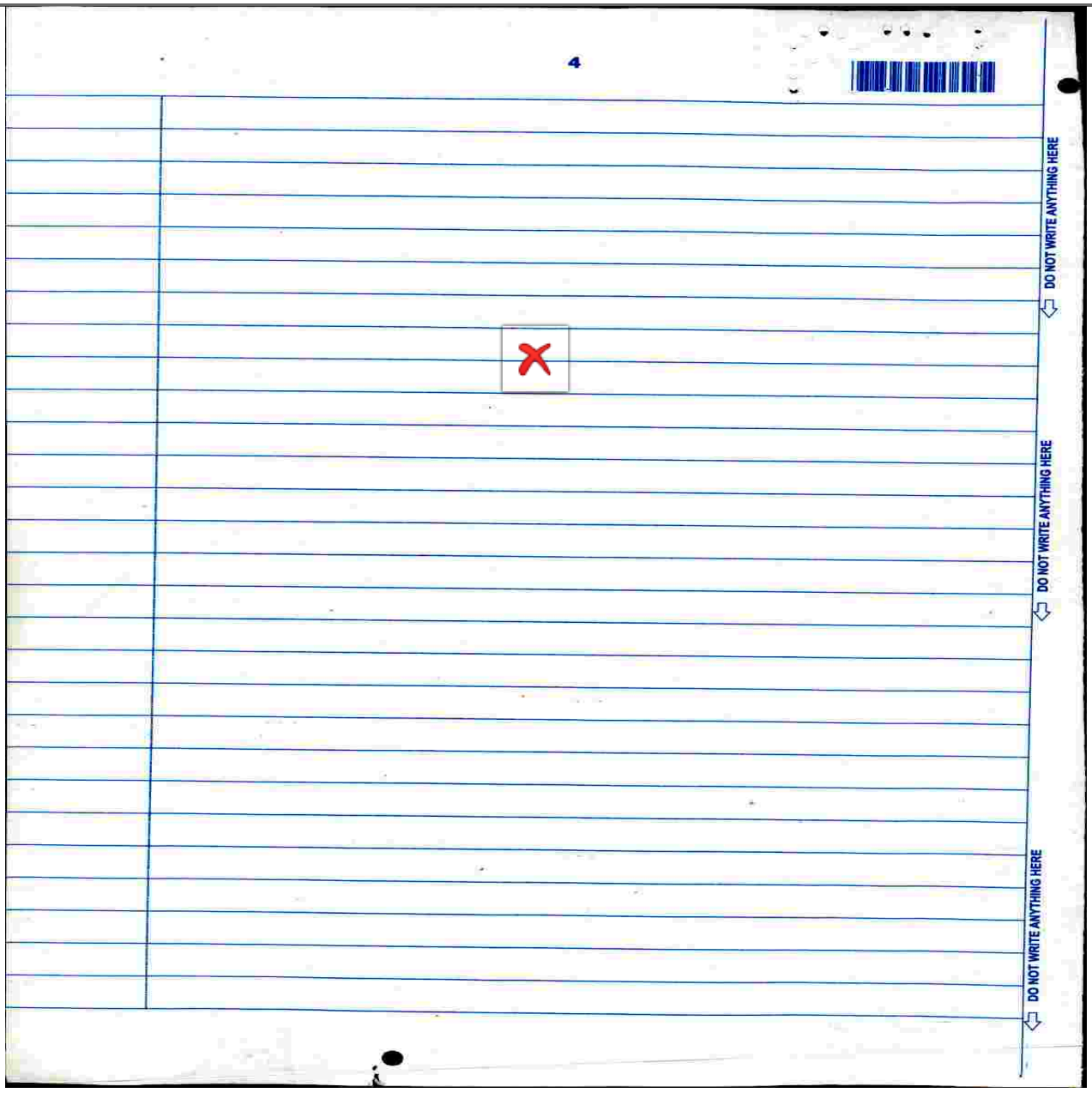
1c 3

1 12


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Code:	**FN2AF117679**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**53**



The Institute of Chartered Accountants of India

Code: FN2AF117679
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 53

Result Overview

Awarded Marks: 53

Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 12/14)

Question No	Awarded Marks	Maximum Marks	Status
1	12	14	M
1a	5	6	M
1b	4	4	M
1c	3	4	M

Q2_Q6 (Score: 41/56)

Question No	Awarded Marks	Maximum Marks	Status
2	10	14	M
2a	6	6	M
2b	0	4	M
2c	4	4	M
3	4	14	M
3a	0	6	M
3b	0	4	M
3c	4	4	M
4	0	14	O
4a	0	6	O
4b	0	4	O
4c	0	4	O

5	14	14	M
5a	8	8	M
5b	6	6	M
6	13	14	M
6a	6	6	M
6b	4	4	M
6c	3	4	M